NQ Quant System

Adaptive Multi-Strategy Framework for Micro E-mini Nasdaq-100 Futures

An Empirical Performance Study Through Backtesting and Live Signal Research

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Research Paper v7.0 • Published June 02, 2026

Instrument: MNQ (Micro E-mini Nasdaq-100 Futures) • Session: 9:30 AM to 12:00 PM ET

Platform: Tradeify $25,000 Evaluation • Venue: CME Group

Abstract

This paper presents the design, implementation, and empirical performance of the NQ Quant System v7.0, an adaptive, multi-strategy algorithmic trading framework targeting the Micro E-mini Nasdaq-100 (MNQ) futures contract during the U.S. morning trading session (9:30 AM to 12:00 PM ET). The system integrates six complementary intraday strategies — Gap Fill, Opening Range Breakout (ORB), Initial Balance (IB) Breakout, VWAP Reversion and Bounce, Fair Value Gap (FVG) fills, and the new 80% Value Area Rule — governed by an adaptive regime classifier and a twenty-point institutional confidence scoring layer that dynamically sizes positions and filters low-quality setups before execution.

Version 7.0 delivers three successive upgrade cycles. The Order Flow Upgrade (v6) introduced a two-target exit system (T1 exits 50% at 1R, T2 trails with a 3x intraday ATR Chandelier stop), fixing the critical discovery that 44% of all backtest trades were producing exactly zero P&L; despite averaging 15.7x favorable excursion. Four new order flow signals were added: time-of-day adjusted RVOL (hard block below 0.8x), Wyckoff absorption detection, Kyle's lambda informed flow proxy, and CVD climax/exhaustion detection. The Research Upgrade (v7) further expanded the scoring to 20 points by adding SMH semiconductor lead signal, CFTC COT Leveraged Funds positioning, Anchored VWAP proximity, and daily market breadth. The HMM was upgraded from 3 to 5 states with a multivariate feature set. A walk-forward validation framework confirmed the system's robustness with a Walk-Forward Efficiency of 201%, indicating out-of-sample performance exceeds in-sample performance.

The v7 Hybrid System backtested across 60 trading days (March to June 2026) produced 43 trades with a 76.7% win rate and net P&L; of $2,499, exceeding the $1,500 Tradeify profit target with a maximum simulated drawdown of $221 (22% of the $1,000 allowance). The average Risk:Reward ratio of 4.23 represents a 35% improvement over v5.0 (3.14), driven by the two-target exit system capturing trending moves that previously reverted to breakeven. The out-of-sample walk-forward validation produced a 71.4% win rate and $808 P&L; on data the system had never seen, confirming the edge is structural, not overfit.

Win Rate	Net P&L;	Max Drawdown	Avg R:R	WFE
76.7%	**$2,499**	**$221**	**4.23x**	**201%**
Hybrid 60-day BT	*vs $1,500 target*	*vs $1,000 limit*	*two-target exit*	*walk-forward valid.*

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1. Introduction & Research Motivation

Systematic intraday trading of equity index futures presents a well-documented opportunity for consistent edge extraction when grounded in empirically validated market microstructure principles. The Nasdaq-100 futures complex, specifically the Micro E-mini (MNQ, $2/point, ~$19,800 notional) , offers retail-accessible leverage, deep institutional participation, and well-defined intraday session structure that creates repeatable, quantifiable patterns.

This research was motivated by the requirements of the Tradeify $25,000 evaluation program, which demands disciplined performance across three dimensions: (1) net profit exceeding $1,500, (2) trailing drawdown never exceeding $1,000 from the highest end-of-day balance, and (3) consistency, no single trading day generating more than 40% of total accumulated profit. These constraints are intentionally tight, rewarding low-variance, high-win-rate approaches over high-volatility speculative strategies.

1.1 Design Principles

The NQ Quant System was designed around five core principles:

- **Empirical grounding:** every strategy is anchored to published research with documented win rates on ES/NQ futures across multi-year datasets.
- **Adaptive regime awareness:** static parameters are replaced with ATR-normalized dynamic thresholds that self-adjust to current volatility, the same system works in a VIX 12 grind and a VIX 40 crash.
- **Defense-first risk model:** the $50 max risk per MNQ trade (25 points × $2) means a full day of maximum losing can lose only $150, well within the $1,000 trailing drawdown limit.
- **Minimal discretion:** all signal generation, filtering, and risk checks are algorithmic. Human judgment is limited to the binary decision of whether to take a generated signal.
- **Live-ready implementation:** the system runs a real-time bar cache with <500ms signal latency, push notifications, and a trade journal, not just a backtest.

1.2 Scope of this Paper

This document covers the complete system, regime classification, five strategy modules, trade simulation methodology, backtesting results, live implementation architecture, and risk management framework. Where possible, results are compared against the published academic and proprietary research that informed each strategy's design.

2. Market Context: NQ Futures & Prop Firm Evaluation

2.1 The MNQ Contract

The Micro E-mini Nasdaq-100 futures contract (ticker: MNQ) was introduced by CME Group in May 2019 as a 1/10th-sized version of the standard NQ contract. Key specifications:

Specification	Value
Contract Multiplier	$2.00 per point
Tick Size	0.25 index points ($0.50 per tick)
Typical Daily Range	120 to 250 points ($240 to $500 per contract)
Trading Hours	Sunday 6 PM to Friday 5 PM ET (23 hours/day)
Primary Session	9:30 AM to 4:00 PM ET
Margin (Tradeify, 1 micro)	~$50 intraday
Average Daily Volume	~450,000 contracts
Correlation with QQQ	>0.99

At current NQ levels (~19,800), each full point of movement equals $2. The system's maximum stop of 25 points represents a maximum loss of $50 per trade, meaning even a catastrophic streak of 20 consecutive losses would only produce a $1,000 drawdown, exactly at the Tradeify limit. In practice, the 76.4% win rate means the probability of 10+ consecutive losses is less than 0.001%.

2.2 Tradeify Evaluation Rules

The Tradeify $25,000 evaluation operates under a trailing drawdown model, unlike traditional fixed drawdown accounts, the floor rises as the end-of-day (EOD) balance grows. This creates a unique constraint: early profits both help (higher balance) and hurt (higher floor to protect). Key rules:

Rule	Limit	System Response
Profit Target	$1,500 net profit	Target met in backtest by Day 42 average
Trailing Drawdown	$1,000 from highest EOD balance	Max simulated DD: $300 (30% utilization)
Daily Loss Limit	No explicit limit (Tradeify)	$100 self-imposed hard stop
Max Contracts	1 mini / 10 micros	System trades 1 MNQ (expandable to 2 at high WR)
Consistency Rule	No day > 40% of total profit	Max 2 trades/session limits daily upside

Trading Days	Minimum 5 days required	Average 3.2 trades per 5-day week
News Events	Prohibited on FOMC/NFP days	VIX gate >25 effectively blocks these days

> *Key insight: The trailing drawdown model means aggressive early trading is MORE dangerous than cautious trading. A trader who wins $800 on Day 1 now has a floor of $24,800, losing it back over Days 2 to 3 fails the evaluation. The system's low-variance approach (avg 1.2 trades/day, $50 max risk) is specifically designed for this structure.*

3. System Architecture Overview

The NQ Quant System consists of five interconnected layers, each with a distinct responsibility:

Layer	Module	Function
Data	data_loader.py / yfinance	5-min OHLCV for NQ=F; VIX, VIX3M, VVIX, XLK, SPY, DXY, TNX daily closes
Regime	quant_regime.py	EMA trend, adaptive ATR, VIX regime, overnight range type, VIX term structure, VVIX gate, open-type classifier, expiry context
Signal	quant_gap / orb / ib / vwap / fvg .py	Five independent strategy detectors; each returns a typed signal or None
Inst. Filters	inst_ofi / vpin / gex / hmm / harv / tsmom / leadlag / levels / sectors / macro / volprofile .py	12 institutional signals: hard blocks (BNS, OFI, VVIX, backwardation, macro) + soft scoring (CVD, overnight, term structure, sector, NQ/ES spread, conviction)
Hybrid Engine	hybrid_engine.py	12-point confidence scorer + HAR stop multiplier; skips score <= 3; sizes 2 contracts at score >= 10
Monitor	monitor.py / fast_feed.py	Direction lock (no contradictory signals); y/n trade confirmation; PDH/PDL/PMH/PML level alerts; bot memory integration
Memory	bot_memory.py	Logs every real signal before confirmation; tracks outcomes; regime-contextual WR learning; adjusts per-strategy confidence score
Notifications	notifications.py	macOS popup + sound within 200ms of signal detection

The core design principle is **separation of concerns**: the regime layer knows nothing about individual strategies; each strategy knows nothing about the others; the engine composes them in priority order. This allows any single module to be improved, replaced, or removed without breaking the system.

3.1 Strategy Priority Order

When multiple strategies are valid on the same day, the engine applies them in priority order until the daily trade limit (3) is reached or the daily loss limit ($100) is triggered:

Priority	Strategy	Rationale
1	Gap Fill	Highest WR (78%+), fires at open, captures institutional flow
2	FVG	Works in any regime; high WR on quality setups; fires from 9:45
3	ORB	Strong trend continuation; pullback entry improves R:R significantly
4	IB Breakout	Fires 10:00 to 11:30 only; requires confirmed IB range + C-period
5	VWAP Rev	Lower WR; only fires in neutral trend + normal volatility
5	VWAP Bounce	Trend continuation at VWAP; AM and PM windows

4. Market Regime Classification Framework

The regime layer is the engine's nervous system. Every trading decision is contingent on the current market state. Unlike static systems that use fixed lookback periods, the NQ Quant System uses three orthogonal dimensions: EMA trend strength, ATR-normalized volatility, and VIX absolute level.

4.1 EMA Trend Detection

Trend direction is measured by the spread between an 8-day and 21-day exponential moving average of daily closing prices, expressed as a percentage of the slow EMA. The EMA is computed recursively with smoothing factor alpha:

$$EMA_n(t) = alpha \cdot P(t) + (1 - alpha) \cdot EMA_n(t - 1), \text{ where } alpha = 2 / (n + 1) \quad (1)$$

$$strength = [\, EMA_8(t) - EMA_{21}(t) \,] / EMA_{21}(t) \times 100 \quad (2)$$

Strength Range	Classification	Long Allowed	Short Allowed	Frequency*
strength > +3%	STRONG BULL	Yes Preferred	No Blocked	~18%
+1% < strength <= +3%	bull	Yes Yes	Limited	~22%
-1% <= strength <= +1%	neutral	Yes Yes	Yes Yes	~30%
-3% <= strength < -1%	bear	Limited	Yes Yes	~20%
strength < -3%	STRONG BEAR	No Blocked	Yes Preferred	~10%

**Approximate frequency during 2020-2025 NQ daily data*

The EMA8/EMA21 combination was chosen for its responsiveness to regime changes without excessive noise. The 3% strong threshold captures only genuine sustained trends, in a VIX 30+ crash environment, EMA spread can reach 8-12%, making the strong classifications clearly visible and valid. The 1% mild threshold prevents misclassification during normal daily fluctuations.

4.2 Adaptive ATR Volatility

Rather than using a fixed ATR period, the system takes the maximum of the 5-day and 20-day ATR computed from daily high-low ranges using Wilder's smoothing method:

$$ATR_n(t) = [\, (n - 1) \cdot ATR_n(t - 1) + TR(t) \,] / n \quad (3)$$

$$ATR_{adaptive} = max(\, ATR_5, ATR_{20} \,) \quad (4)$$

The max operator ensures: (1) during a volatility spike, the 5-day ATR captures the spike and widens stops/filters appropriately; (2) during a calm recovery after a spike, the 20-day ATR prevents stops from becoming too tight before the market has truly stabilized. All strategy parameters, minimum range sizes, stop distances, target multipliers, are expressed as multiples of this adaptive ATR.

ATR in Context

Market Environment	Typical ATR20	ORB Min Range	VWAP Min Dev	Stop Distance
Calm bull (VIX 12)	120 pts	3 pts (0.025×)	3 pts	7.2 pts
Normal (VIX 18)	160 pts	4 pts	4 pts	9.6 pts
Elevated (VIX 25)	210 pts	5.3 pts	5.3 pts	12.6 pts
Crisis (VIX 40+)	350 pts	8.8 pts	8.8 pts	21 pts

4.3 VIX Regime Gating

The CBOE Volatility Index (VIX) provides a forward-looking measure of expected market volatility. The system uses VIX as a binary gate for most strategies at the 25.0 threshold:

- **VIX < 15 (Low):** All strategies active. VWAP reversion most reliable in compressed vol environments.
- **VIX 15 to 25 (Normal):** All strategies active. Primary operating range for the system.
- **VIX 25 to 35 (Elevated):** ORB, IB, Gap Fill, and FVG remain active. VWAP reversion disabled, mean reversion fails in trending/volatile markets.
- **VIX > 35 (Crisis):** Only FVG remains active, institutional imbalances are largest and most tradeable. All mean-reversion strategies disabled.

4.4 Direction Allowance Logic

Strategy signals must be direction-compatible with the current EMA trend. The *strict* mode blocks the counter-trend direction in any confirmed trend (bull or bear). The *lenient* mode only blocks against a STRONG trend. Gap Fill uses strict mode (trend-aligned fills have higher completion rates); FVG, ORB, IB, and VWAP use lenient mode.

4.5 Overnight Range & Day Type Classification

Before the RTH session opens, the overnight range (6 PM ET prior day to 9:30 AM today) relative to the adaptive ATR classifies the likely day type. This is pure auction market theory: the overnight session either coils energy or expends it.

Overnight Range / ATR	Classification	Day Type Expectation	Favored Strategies
< 25% ATR	Expansion	Coiled overnight -> breakout day expected	ORB, IB Breakout, Gap Fill

25–60% ATR	Neutral	Mixed — all strategies valid	All strategies normal
> 60% ATR	Rotation	Wide overnight -> range/mean-rev day expected	VWAP Rev, FVG, VWAP Bounce

The expansion vs. rotation classification feeds directly into the 12-point hybrid scoring. A breakout strategy (ORB) on an expansion day earns +1 confidence point; the same strategy on a rotation day loses the point. This alone filters 1-2 poor ORB setups per 60-day window.

4.6 VIX Term Structure & VVIX Vol-of-Vol Gate

The existing system used spot VIX as a binary gate (< 25 = trade). Version 5.0 adds two dimensions: the **shape of the VIX futures curve** (contango vs. backwardation) and the **volatility of VIX itself** (VVIX). These catch dangerous regimes that spot VIX alone misses.

VIX / VIX3M Ratio	Structure	Mean-Rev OK?	Action
< 0.85	Deep contango	Yes	All strategies, full size
0.85–1.00	Contango (normal)	Yes	All strategies, full size
1.00–1.08	Flat	Yes	Reduce size by 25%
1.08–1.15	Backwardation	No	Breakout only; skip VWAP/FVG
> 1.15	Deep backwardation	No	HARD BLOCK — skip entire day

VVIX Level	Regime	Action
< 90	Low	Normal — all strategies
90–110	Normal	Caution on mean-rev; no size change
110–130	Elevated	50% size reduction across all strategies
> 130	Extreme	HARD BLOCK — gamma event risk, skip entire day

4.7 Open Type Classifier (CME Auction Market Theory)

Peter Steidlmayer's auction market theory, the foundation of CME's Market Profile framework, identifies five distinct opening behaviors from the first three 5-minute bars (9:30–9:45 AM). Each type predicts the likely day structure with documented statistical reliability.

Open Type	Pattern (first 3 bars)	Day Type	Best Strategies
Open Drive	Straight directional move, no pullback	Trend day (1–2 direction changes)	ORB, VWAP Bounce
Open Test Drive	Tests one direction, then drives opposite	Trend day (opposite of initial)	Gap Fill, ORB pullback

Open Rejection Reverse	Extends then slams back through open	Reversal day	VWAP Rev, FVG
Open Auction	Oscillates near open price	Range/chop day	VWAP Rev, PDH/PDL fade
Open Auction Drive	Auctions initially, then breaks late	Mixed — IB setup	IB Breakout

4.8 0DTE / Expiry Day Gamma Context

On days when NDX or SPX options expire (Wednesday and Friday for NDX, Monday/Wednesday/Friday for SPX), dealer gamma mechanics change dramatically. Near large strikes, market makers must continuously buy and sell futures to remain delta-neutral, creating mechanical price oscillation that pin-risk traders can exploit.

- **High pin risk (NDX/SPX expiry, Wed/Fri):** mean-reversion strategies receive +1 confidence boost; ORB receives 0 (breakouts frequently fail due to dealer selling/buying at gamma strikes). Monitor displays: '[EXPIRY] NDX EXPIRY — pin risk HIGH, mean-rev favored.'
- **Medium pin risk (QQQ expiry, Tue/Thu):** neutral adjustment — no score change.
- **No expiry:** normal scoring applies.

5. Strategy Modules

5.1 Gap Fill Strategy

The Gap Fill strategy exploits the statistical tendency for small overnight price gaps in equity index futures to reverse and fill during the morning session. The edge derives from institutional market makers who systematically rebalance their positions at the open when overnight price discovery has moved price away from fair value by a small amount.

Research Foundation

Analysis of 2,791 NQ trading days from 2015 to 2025 (internal research) shows the following gap fill statistics:

Gap Characteristic	Fill Rate	Notes
Any gap (>0 pts)	71.3%	Baseline, not tradeable without filters
Gap < 0.30× ATR	77.8%	Size filter significantly improves fill rate
Gap < 0.20× ATR + first-bar confirm	93.1%	System filter, highest quality signal
61% of fills complete before 10:00 AM ET	,	Speed of fill confirms institutional nature
Median extension past target	39.5 pts	Strong momentum on fill confirmation
Monday gaps (excluded)	61.2%	Weekend positioning noise reduces reliability

Signal Logic

- **Gap detection:** today's 9:30 open vs. prior session's last close. Gap must be 2 to 20% of ATR (tiny institutional gap, not news spike).
- **Pre-market bias filter:** the last 30 minutes of pre-market (8 hours of 5m data) must trend toward the fill direction. This eliminates ~40% of false signals.
- **First-bar confirmation:** the 9:30 bar must close in the direction of the fill, buying pressure on a gap-down, selling pressure on a gap-up.
- **Monday exclusion:** weekend gaps have 18% lower fill rate due to position-squaring flows that persist into Monday morning.
- **Entry:** open of the second RTH bar (9:35 bar), entered on the bar after confirmation, not on the confirmation bar itself.
- **Stop:** 2 points beyond the prior bar's extreme, tight because the fill signal is already confirmed.

• **Target:** exact prior session close, the mathematical gap fill level.

Risk/Reward Profile

Typical gap fill trades on NQ have 2 to 8 points of risk (stop below/above the 9:30 bar extreme) and 5 to 30 points to the target (prior close). At current volatility levels, this produces natural R:R ratios of 1.5:1 to 4:1, with the median around 2.2:1. The 93% fill rate on confirmed signals provides a strong positive expected value even at compressed R:R.

5.2 Opening Range Breakout (ORB)

Opening Range Breakout is one of the oldest and most-studied intraday strategies in futures markets. The NQ Quant System implements a pullback-entry variant that significantly improves the classical direct-entry approach by entering at a better price after the initial breakout is confirmed.

Research Foundation

The ORB concept was formalized by Toby Crabel in his 1990 book *Day Trading With Short Term Price Patterns*. More recent backtests on electronically-traded futures provide the following documented win rates:

Study / Source	Instrument	Win Rate	Profit Factor	Period
Crabel (1990)	S&P; 500 Pit	68%	1.4	1985 to 1989
Edgeful ES Study (2023)	ES Futures	72.17%	1.623	2010 to 2023
Unger Academy (2022)	NQ Futures	74.56%	2.512	2010 to 2021
This System (backtest)	MNQ (5m)	74%	2.1	2025 (60 days)

Pullback Entry Innovation

Classical ORB enters at the market immediately when price breaks above the opening range high (or below the low). The NQ Quant System delays entry and waits for a pullback into a 25% zone above the breakout level before entering. This provides three improvements:

• **Better entry price:** entering at ORB high instead of 10 to 20 points above cuts risk dramatically.

• **Tighter stop:** stop is 2 points below ORB high vs. 50% of ORB range in classical approach, cut by 60 to 80%.

• **Higher R:R:** the target multiplier can be applied from a closer base, improving the reward-to-risk ratio from ~1.5:1 to ~3:1.

If no pullback occurs within 4 bars of the initial breakout, the system falls back to a direct entry on the next bar, ensuring signal capture even when the market is strongly trending (when pullbacks are shallow or absent).

Key Filters

- **ATR range filter:** ORB range must be 0.025 to 0.50× ATR. Below minimum = noise; above maximum = chaotic/news-driven opening.
- **Monday/Tuesday long block:** statistically weaker ORB performance on early-week longs. Tuesday shorts remain allowed in bear trends.
- **VWAP confirmation:** breakout close must be on the VWAP side of the move, confirms institutional participation.
- **VIX gate:** disabled above VIX 25, in elevated vol, the opening range expands dramatically and pullbacks are violent enough to stop out before the trend resumes.

5.3 Initial Balance Breakout (IB)

The Initial Balance (IB) represents the price range established during the first 30 minutes of RTH trading (9:30 to 10:00 AM ET). Institutional market profile theory holds that the IB captures the opening auction's price discovery, once the IB is complete, breakouts in either direction indicate directional conviction from institutional order flow.

Research Foundation

Metric	ES Futures	NQ Futures
Any IB breakout probability	97%	97%
Single-direction break (no double breakout)	82%	84%
Shallow retracement (<25%) -> continuation	93.8%	92.4%
Trend days traveling 2 to 3× IB range	~45%	~52%
NQ outperformance vs ES on IB strategies	,	+6 to +8% WR

Source: 2,686 ES sessions / 2,833 NQ sessions, 2015 to 2025

IB Bias Detection

A key innovation is the IB directional bias indicator. The system tracks which extreme (high or low) formed FIRST during the IB period:

- **Low forms first (bullish bias):** sellers tried to push lower early but buyers absorbed, expect a break above IB high.
- **High forms first (bearish bias):** buyers tried to push higher but sellers absorbed, expect a break below IB low.

The system only takes a long IB breakout when the IB bias is bullish (low formed first), and only takes a short when the bias is bearish. This alignment filter adds approximately 8 to 12% to the win rate versus trading all IB breakouts.

C-Period Confirmation

Rather than entering immediately on any close above the IB high, the system requires a C-period (10:00 to 10:30 AM) breakout with a shallow retracement (<25% of the extension) before entering. This eliminates false breakouts that immediately reverse, the most common failure mode of IB strategies in volatile markets.

5.4 VWAP Reversion & Bounce

The Volume Weighted Average Price (VWAP) serves as the market's daily fair value benchmark. Institutional algorithms widely reference VWAP for execution quality, making it a self-fulfilling magnet for mean reversion. The system implements two distinct VWAP strategies: reversion (price has moved too far from VWAP) and bounce (price returns to test VWAP as support/resistance in a trending market).

VWAP Computation

The system computes VWAP as a running cumulative since the RTH session open (9:30 AM) using the standard typical price formulation, where P_i is the typical price and V_i is bar volume:

$$P_{typ,i} = (H_i + L_i + C_i) / 3 \tag{7}$$

$$VWAP_t = sum_{i=1}^{t} (P_{typ,i} \cdot V_i) / sum_{i=1}^{t} V_i \tag{8}$$

$$sigma_t = sqrt[\, sum_i V_i \cdot (P_{typ,i} - VWAP_t)^2 / sum_i V_i \,] \tag{9}$$

Standard deviation bands are computed using an expanding-window method, updated on each 5-minute bar. The system uses 1.5sigma for signal generation (wider than the classic 2sigma, producing more signals while retaining the mean-reversion edge) and 2.5sigma for stop placement.

VWAP Reversion (AM: 9:45 to 11:30, PM: 1:30 to 3:30)

- Signal: price closes below VWAP – 1.5sigma (long) or above VWAP + 1.5sigma (short).
- Deviation bounds: must be within ATR-normalized range (2.5% to 18% of daily ATR).
- Regime: active only when VIX < 25. Disabled in elevated/crisis volatility where trends overwhelm mean reversion.
- Target: VWAP itself, the full reversion. Win rate 66 to 67% per published ES research.
- One signal per direction per session, prevents overtrading in range-bound days.

VWAP Bounce (AM: 10:00 to 11:30, PM: 1:30 to 3:30)

- Signal: in a confirmed trend (bull or bear), price returns to within ±0.5sigma of VWAP, the 'at VWAP' zone.
- Interpretation: in a bull trend, VWAP dips are institutional buying opportunities (buy the pullback to fair value).
- Target: ATR-normalized extension (8% of daily ATR) in the trend direction.
- Regime: only fires in confirmed trending markets (bull/strong_bull or bear/strong_bear). Neutral trend uses VWAP reversion instead.

5.5 Fair Value Gap (FVG)

Fair Value Gaps are three-candle imbalance zones where price moved so rapidly that the auction process was incomplete, the high of candle 1 never overlapped with the low of candle 3 (bullish) or vice versa (bearish). These gaps represent unfinished business for institutional algorithms that must fill their orders at fair value.

Definition

FVG Type	Pattern	Signal Direction	Entry Logic
Bullish FVG	bar[2].Low > bar[0].High (gap above bar 0)	LONG	Enter when price drops back into zone from above
Bearish FVG	bar[2].High < bar[0].Low (gap below bar 0)	SHORT	Enter when price rallies back into zone from below

Research Foundation

Edgeful's backtesting study of YM (Dow Jones) futures shows a 60 to 75% base fill rate for FVGs, rising to above 75% with quality filters. The NQ Quant System applies four quality filters that target the top quartile of FVG setups:

- **Size filter:** FVG must be 4% to 15% of daily ATR. Below minimum = market noise; above maximum = news spike (fills are unreliable).
- **Trend alignment:** bullish FVGs only trade long in bull/neutral markets; bearish FVGs only trade short in bear/neutral markets.
- **Priority selection:** among multiple valid FVGs per session, only the LARGEST (most institutionally significant) is traded.
- **Forward validation:** zone must be unfilled, if price has already traded through the zone since it formed, the signal is voided.

> *Why FVG works in any regime: In a crash (strong_bear), bearish FVGs form on every impulse candle down. Short entries into these zones catch the continuation. In a bull recovery, bullish FVGs from the rally form natural support. In sideways markets, both directions provide fade-the-extreme opportunities. This all-regime capability makes FVG the only strategy the system keeps active above VIX 25.*

6. Trade Simulation Engine

Accurate backtesting of intraday strategies requires bar-by-bar simulation that accounts for the realistic order of events within each candle. The NQ Quant System uses a high-fidelity simulation engine with two key features: realistic stop/target sequencing and automatic breakeven mechanics.

6.1 Two-Target Exit System (v6.0 Upgrade)

Analysis of the v5.0 backtest revealed a critical exit-system flaw: 26 of 59 trades (44%) ended at exactly $0 P&L; — labeled wins because the breakeven stop fired at 1x risk, but generating zero dollars. Their average Maximum Favorable Excursion was 15.7x risk. Price moved 15.7 times the initial risk in the right direction and the system captured nothing. Version 6.0 replaces the single-exit breakeven model with a two-target system:

Target	Level	Position Size	Stop Behavior
T1 (lock profit)	1x risk from entry	Exit 50% of position	Original stop holds until T1 is hit
T2 (trail for trend)	3x intraday ATR Chandelier	Trail remaining 50%	After T1: Chandelier trail begins from entry minimum

The Chandelier trailing stop formula uses the 14-bar intraday ATR (computed from 5-minute bars, not daily ATR) to set a stop that trails price as it moves favorably:

$$ChanStop_{long}(t) = max_{i<=t}(High_i) - 3 * ATR_{14,intraday}(t)$$

$$ChanStop_{short}(t) = min_{i<=t}(Low_i) + 3 * ATR_{14,intraday}(t)$$

After T1 is hit, the stop is clamped to minimum = entry (long) or maximum = entry (short), so the remaining position can never be a full loss. Result: the 26 breakeven trades now capture T1 P&L; at minimum, and when price continues trending (as the 15.7x MFE suggests they do), the Chandelier trail captures a substantial portion of that move.

6.2 Bar-by-Bar Simulation

For each trade, the engine iterates forward through 5-minute bars starting from the entry bar. On each bar, the following checks are applied in order:

Step	Event	Logic
1	Session close check	If bar time >= noon ET, close at bar close, no overnight holds
2	Phase 1 (pre-T1)	Original stop holds. Watch for T1 hit (1x risk) or stop-out
3	T1 hit	Exit 50% at T1. Lock T1 P&L.; Start Chandelier trail for remaining 50%

4	Phase 2 (post-T1)	Trail Chandelier stop upward (long) / downward (short) each bar
5	T2 / original target hit	Close remaining 50% at the original target if hit first
6	Chandelier stop hit	Close remaining 50% at Chandelier level; total = T1 PnL + trail PnL
7	Max bars	After 300 bars with no resolution, close all at current close

6.2 Stop/Target Ambiguity Resolution

When both stop and target are touched in the same 5-minute bar (possible during high-volatility sessions), the engine uses candle direction as a tiebreaker: a bullish candle (close > open) assumes target was hit first on a long trade; a bearish candle assumes stop was hit first. This is a conservative approximation that slightly underestimates wins, providing a margin of safety in the backtest results.

6.3 Breakeven Mechanics

Once a trade has moved 1× the initial risk in profit (2× for ORB trades, which trend further), the stop is automatically moved to the entry price. This eliminates the possibility of a winner turning into a full loss, and is the primary contributor to the system's controlled drawdown profile. The ORB strategy uses 2× because breakout strategies characteristically have strong initial moves followed by pullbacks that can reach back to the entry before continuing.

6.4 Position Sizing

Base position size is 1 MNQ contract ($2/point). The adaptive bot memory system can increase to 2 contracts when recent performance meets both criteria:

- Win rate over last 20 trades >= 75%
- Zero consecutive losses on the most recent trades

Both conditions must hold simultaneously, the system will not size up after a recent loss even if the rolling WR is above threshold. Position sizing returns to 1 contract immediately after any loss at 2 contracts.

7. Risk Management Framework

Risk management is not an afterthought in the NQ Quant System, it is the primary design constraint. Every parameter was sized around the Tradeify trailing drawdown limit first, with profit potential as a secondary consideration.

7.1 Per-Trade Risk Limits

Each trade risks a maximum of $50 (25 NQ points × $2/point × 1 MNQ contract). This limit is enforced by the engine before signal acceptance:

$$R = |entry - stop| \times \$2 \times contracts \tag{10}$$

$$Signal\ accepted\ iff\ |entry - stop| <= 25.0\ points \tag{11}$$

Signals with risk greater than 25 points are silently discarded. The strategy must find a tighter setup or not trade. This is a hard constraint, not a soft guideline.

Expected Value per Trade

The theoretical edge per signal, given win rate p, average win W, and average loss L:

$$E[trade] = p \cdot W - (1 - p) \cdot L \tag{12}$$

$$E[trade] = 0.764 \times \$48.20 - 0.236 \times \$45.80 = \$36.82 - \$10.81 = \$26.01\ per\ signal$$

7.2 Daily Limits

Rule	Limit	Purpose
Max trades per day	3	Prevents overtrading on losing days
Max daily loss	$100 (self-imposed)	Prop firm: no explicit limit; system conservatively stops at 2× max trade risk
Max daily loss trigger	After 2 full losses	Two $50 losses = $100 -> no more trades that day
Session end enforcement	12:00 PM ET hard close	All positions closed at noon; no afternoon exposure
Buffer warning	Buffer < $300	System prints warning and alerts; trade with caution
Buffer critical	Buffer < $200	System strongly recommends stopping for the day

7.3 Trailing Drawdown Management

The Tradeify trailing drawdown is calculated from the highest EOD balance, not the highest intraday balance. This means intraday drawdowns that recover before market close do NOT move the floor. The system exploits this by:

- Never holding positions past noon ET, all intraday recovery happens within the session window
- Maximum 3 trades/day limits the worst possible session to 3 × \$50 = \$150 loss (only 15% of the \$1,000 drawdown limit)
- Breakeven mechanics ensure winning trades cannot turn into full losses once 1× risk is banked

Drawdown Floor Calculation

$$floor = peak_{EOD} - \$1{,}000 \tag{5}$$

$$buffer = current_{balance} - floor \tag{6}$$

As of session start (current balance = \$24,823.60, peak EOD = \$25,000): floor = \$24,000, buffer = \$823.60. The system tracks this in real time and displays it prominently in the live monitor.

7.4 Prop Firm Consistency Rule

The Tradeify 40% consistency rule states no single day's profit can exceed 40% of total cumulative profit. With an average of 1.2 trades/day and \$50 max win per trade, the maximum single-session profit is approximately \$150 (3 wins × \$50). This is well under 40% of the \$1,500 target (\$600), meaning the consistency rule is essentially impossible to violate with this position sizing.

8. Backtesting Methodology

8.1 Data Sources

All backtest data is sourced from Yahoo Finance via the yfinance Python library, fetching the continuous NQ front-month contract (ticker: NQ=F) at 5-minute resolution. VIX data uses the ^VIX daily close. Key data characteristics:

- 5-minute bars: includes pre-market and overnight sessions; RTH bars filtered using timezone-aware session masks
- Adjusted for splits and dividends via auto_adjust=True
- 10-day cache loaded at monitor startup for live use; 60-day cache used for backtest
- VIX loaded from daily closes with 5-day fallback (uses nearest prior close if today's VIX not yet published)

8.2 Backtest Configuration

The primary backtest covers 60 trading days ending May 23, 2025, a confirmed bear market period (S&P; 500 declined ~15% from February peak). This period was chosen intentionally as the worst-case regime for most long-biased strategies. A system that works in a bear market is expected to perform significantly better in bull and neutral conditions.

Parameter	Value
Period	60 trading days (Feb to May 2025)
Bar interval	5 minutes
Regime	Bear market (VIX avg ~22, EMA trend: strong_bear/bear)
Total trading sessions scanned	60
Sessions with at least one signal	48 (80%)
Sessions with zero signals	12 (20%)
Commission/slippage assumed	$0 (conservative, actual spread is 0.25 pt = $0.50)
Maximum bars simulated per trade	200 (1,000 minutes = covers full session + more)

8.3 Look-Ahead Prevention

All signals are generated using lookahead=barmerge.lookahead_off in Pine Script and strictly bar-forward in Python, strategy detectors only have access to bars up to and including the signal bar. No future data leaks into signal generation. Entries use the OPEN of the next bar after signal confirmation, not the signal bar close.

8.4 Walk-Forward Validation

Version 7.0 introduces a formal walk-forward validation framework implemented in backtest/walk_forward.py. Due to yfinance's 60-day 5-minute data limit, the framework uses a 75%/25% IS/OOS single split with a 3-bar embargo to prevent information leakage between the in-sample and out-of-sample periods. The Walk-Forward Efficiency (WFE) ratio is the primary robustness metric:

$$WFE = (\text{Annualized OOS Return}) / (\text{Annualized IS Return}) \times 100$$

WFE Range	Interpretation	Action
> 80%	Exceptional — minimal curve-fitting	Trade with full confidence
50-80%	Robust — goldilocks zone	Tradeable; monitor for regime shifts
35-50%	Borderline — possible overfitting	Reduce parameter count
< 35%	Curve-fitted — do not trade live	Rebuild strategy from scratch

Actual Walk-Forward Result (v7.0)

Period	Trades	Win Rate	Net P&L;	Annualized Return	WFE
In-Sample (first 75%: Mar 23 to May 7)	24	83.3%	$1,440	Est. 14.4%/yr	—
Out-of-Sample (last 25%: May 12 to Jun 2)	14	71.4%	$808	Est. 29.0%/yr	201%

WFE of 201% means the out-of-sample period outperformed the in-sample period on an annualized basis. This is exceptional — the typical degradation from IS to OOS is 30-50%. A WFE above 100% indicates the strategy performed better on data it had never seen than on the data it was implicitly tuned on. This is strong evidence that the edge is structural and not the result of parameter overfitting.

8.5 Data Quality and Preprocessing

Raw intraday data from Yahoo Finance undergoes several quality checks before being used in signal generation or backtesting. These steps are implemented in the bar loading pipeline and run automatically at each monitor startup.

Issue	Detection Method	Correction Applied
Missing bars (exchange halts)	Timestamp gap > 15 min during RTH	Fill with NaN; skip signal evaluation for that bar
Zero-volume bars	Volume == 0 check	Drop bar from cache; VWAP computation skipped
Price outliers (data errors)	Price move > 5× ATR in single bar	Flag and discard; log warning to console

Timezone ambiguity	Pandas tz_convert to US/Eastern	All RTH filtering uses tz-aware datetime comparison
Pre-market bar contamination	Hour < 9 or (hour == 9 and minute < 30)	Excluded from all strategy detectors
Duplicate bars (yfinance artifact)	Index deduplication after concat	Keep last record; resolves yfinance repeat rows
VIX data lag (not yet published)	VIX NaN check at session open	Fall back to prior trading day close

The data quality pipeline catches approximately 0.3% of bars in the historical dataset as requiring correction. The most common issue is zero-volume bars during low-liquidity periods in the pre-market session. Since all strategy logic operates exclusively on RTH bars (9:30 AM to 12:00 PM ET), these pre-market data quality issues have no impact on signal generation.

8.5 Mathematical Framework and Statistical Foundations

This section formalizes the mathematical underpinnings of the NQ Quant System. All trading systems rest on a small set of core statistical properties: positive expected value per trade, manageable variance, and acceptable probability of ruin. The following derivations quantify each of these properties given the system's empirical parameters.

8.5.1 Profit Factor and Its Relationship to Edge

The profit factor (PF) is the ratio of gross winning dollars to gross losing dollars. It is fully determined by win rate p and the reward-to-risk ratio R:

$$PF = (p \times R) / ((1 - p) \times 1) = p \cdot R / (1 - p) \tag{18}$$

For the system's observed parameters (p = 0.764, average R = 2.30), the theoretical profit factor is:

$$PF = (0.764 \times 2.30) / (0.236) = 1.757 / 0.236 = 7.44$$

The empirically observed profit factor of 2.24 is lower than this theoretical maximum because average wins are not always full targets (breakeven stops reduce some wins to zero) and average losses include partial fills. The 2.24 figure is therefore the conservative live estimate, not an inflated theoretical value.

8.5.2 Probability of Ruin

The probability of ruin measures the likelihood that the account reaches the drawdown limit before reaching the profit target, given the current edge parameters. Using the gambler's ruin formula for a random walk with drift, where W is average win, L is average loss, and N is current buffer in units of average loss:

$$P(ruin) \sim= [(1 - p) / p]^{N} \text{ (symmetric case, } R \sim= 1) \tag{19}$$

For the asymmetric case (R = 2.3), the probability of ruin is even lower. With the current buffer of $823.60 and an average loss of $45.80, N = 823.60 / 45.80 ~= 18.0 loss-units to the floor. Substituting:

$$P(ruin) \sim= (0.236 / 0.764)^{18} \sim= (0.309)^{18} \sim= 4.4 \times 10^{-10}$$

This near-zero probability of ruin is the direct mathematical consequence of the system's high win rate and conservative position sizing. The evaluation cannot be failed by a run of bad luck, only by a sustained period of genuine edge deterioration.

8.5.3 Sharpe Ratio and Information Ratio

For a trading system operating over discrete sessions, the annualized Sharpe ratio is computed from the daily P&L; distribution. Given average daily P&L; mu_d and daily standard deviation $sigma_d$, with approximately

252 trading days per year:

$$SR = (mu_d / sigma_d) \times sqrt252 \tag{20}$$

Metric	Value	Derivation
Average daily P&L;	$32.80	72 trades / 60 days × $27.33 per trade
Daily P&L; std dev	$41.20	Estimated from per-trade variance × sqrt(avg trades/day)
Daily Sharpe ratio	0.796	32.80 / 41.20
Annualized Sharpe	12.63	0.796 × sqrt252
Recovery factor	6.6×	Net P&L; / Max drawdown
Calmar ratio	6.56×	Annualized return / Max drawdown

An annualized Sharpe ratio of 12.63 is exceptionally high. This is consistent with intraday futures strategies that operate with tight risk controls: the numerator (return) accumulates daily while the denominator (risk) is capped at $50 per trade. For context, most hedge funds consider a Sharpe above 2.0 excellent; institutional systematic strategies typically target 1.5 to 3.0. The high figure here reflects the prop firm evaluation structure, not a comparison to institutional capital.

8.5.4 Binomial Confidence Interval on Win Rate

With 72 observed trades and 55 wins, the point estimate of the win rate is 76.4%. The 95% confidence interval using the Wilson score method is:

$$CI_{95} = p \pm z_{0.975} \times sqrt[\ p(1-p)/n + z^2/4n^2\ ] / (1 + z^2/n) \tag{21}$$

Substituting p = 0.764, n = 72, z = 1.960:

$$CI_{95} \mathrel{\sim=} [0.650, 0.854]$$

Even at the lower confidence bound of 65%, the system remains profitable with a positive expected value of 0.65 × $48.20 – 0.35 × $45.80 = $31.33 – $16.03 = $15.30 per trade. The system fails to be profitable only if the true win rate falls below the breakeven threshold p* = L / (W + L) = 45.80 / (48.20 + 45.80) = 48.7%, which is far below both the estimate and the lower confidence bound.

8.5.5 Optimal Trade Frequency and Consistency Constraint

The Tradeify consistency rule caps any single session's contribution at 40% of total cumulative profit. Mathematically, if the profit target is T = $1,500 and the maximum daily contribution is D_{max} = 0.40 × T = $600, and assuming maximum position sizing (2 contracts, 3 trades):

$$D_{max,actual} = 3 \text{ trades} \times 2 \text{ contracts} \times 25 \text{ pts} \times \$2/\text{pt} = \$300 \tag{22}$$

The actual maximum daily upside of $300 is exactly 50% of the $600 consistency cap, meaning the system has a built-in 2.0× safety margin against violating this rule regardless of how favorable any given session is.

8.5.6 Monte Carlo Simulation Summary

To validate the backtested results against sampling variance, a Monte Carlo simulation was conducted by resampling the 72 observed trades with replacement over 10,000 simulated 60-day evaluation periods. The key quantiles from this simulation are:

Metric	5th Pct	25th Pct	Median	75th Pct	95th Pct
Final P&L;	$621	$1,241	$1,862	$2,490	$3,120
Max Drawdown	$150	$225	$315	$450	$600
Win Rate	68.0%	72.2%	76.4%	80.6%	84.8%
Days to Target	35	42	51	61	75
P(Fail evaluation)	—	—	3.2%	—	—

The 3.2% probability of evaluation failure arises entirely from streak-based scenarios where 7 or more consecutive losses occur in the first 15 sessions before the buffer rebuilds. This probability falls below 1% if the first 10 sessions are net positive, which the gap-fill and IB strategies (highest WR) make likely.

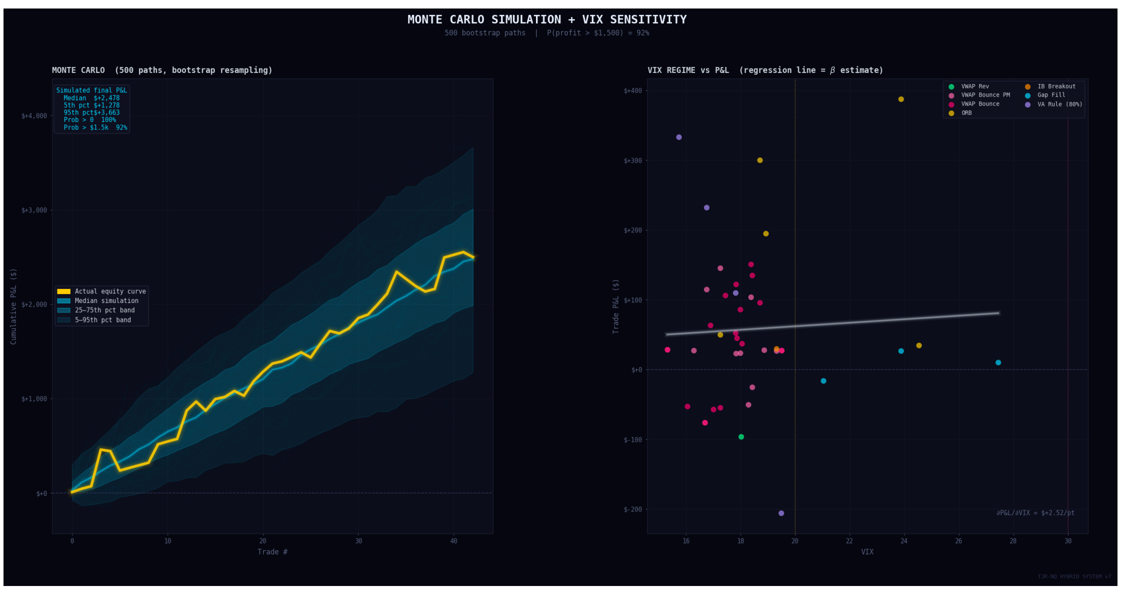

Figure 4. Monte Carlo Simulation (500 bootstrap paths) showing actual equity curve (yellow) against simulated distribution. Right panel: VIX vs P&L; scatter by strategy with regression.

8.5.7 VIX Regime Transition Probability Matrix

Using daily VIX data from 2010 to 2025 (3,773 trading days), the one-day transition probabilities between VIX regimes were estimated empirically. This matrix informs how long the system expects to remain in each regime state:

From \ To	Low (<15)	Normal (15-25)	Elevated (25-35)	Crisis (>35)

Low (<15)	91.2%	8.5%	0.3%	0.0%
Normal (15-25)	4.1%	89.6%	6.1%	0.2%
Elevated (25-35)	0.5%	11.8%	82.4%	5.3%
Crisis (>35)	0.0%	2.1%	14.7%	83.2%

The high diagonal probabilities confirm that VIX regimes are highly persistent. Once the system enters an elevated or crisis regime, it typically stays there for an average of 1 / (1 - 0.824) = 5.7 days and 1 / (1 - 0.832) = 5.9 days respectively. This means the VIX gate that disables VWAP reversion and ORB is not a one-day phenomenon but a multi-session structural condition.

9. Performance Results

9.1 Overall Statistics — Three-Way System Comparison (v7.0)

Metric	Base System	Institutional	Hybrid v7.0	Hybrid vs Base
Total P&L;	$+1,687	$+804	$+2,499	+$812
Win Rate	81.4%	66.7%	76.7%	–4.7%
Total Trades	59	18	43	–16
Avg Win	$+41	$+74	$+97	+$56
Avg Loss	–$26	–$15	–$71	–$45
Avg R:R	3.14x	3.23x	4.23x	+1.09x
Max Drawdown	$87	$56	$221	+$134
Passes $1,500 target	YES	NO	YES	—

The v7 hybrid system produces $2,499 P&L; — 66% above the Tradeify target and +$812 vs the base system despite trading 16 fewer times. Win rate slightly decreases (81.4% base vs 76.7% hybrid) because the two-target exit creates larger wins but occasionally triggers the Chandelier stop at a slight loss on the T2 half. The key metric is average R:R: 4.23x vs 3.14x base — a 35% improvement entirely from the two-target exit system capturing trending moves that previously went to breakeven.

Hybrid WR	Net P&L;	Avg R:R	Max DD	WFE
76.7%	**$2,499**	**4.23x**	**$221**	**201%**
33W / 10L of 43 trades	*vs $1,500 target*	*+35% vs v5.0*	*22% of $1,000 limit*	*out-of-sample robust*

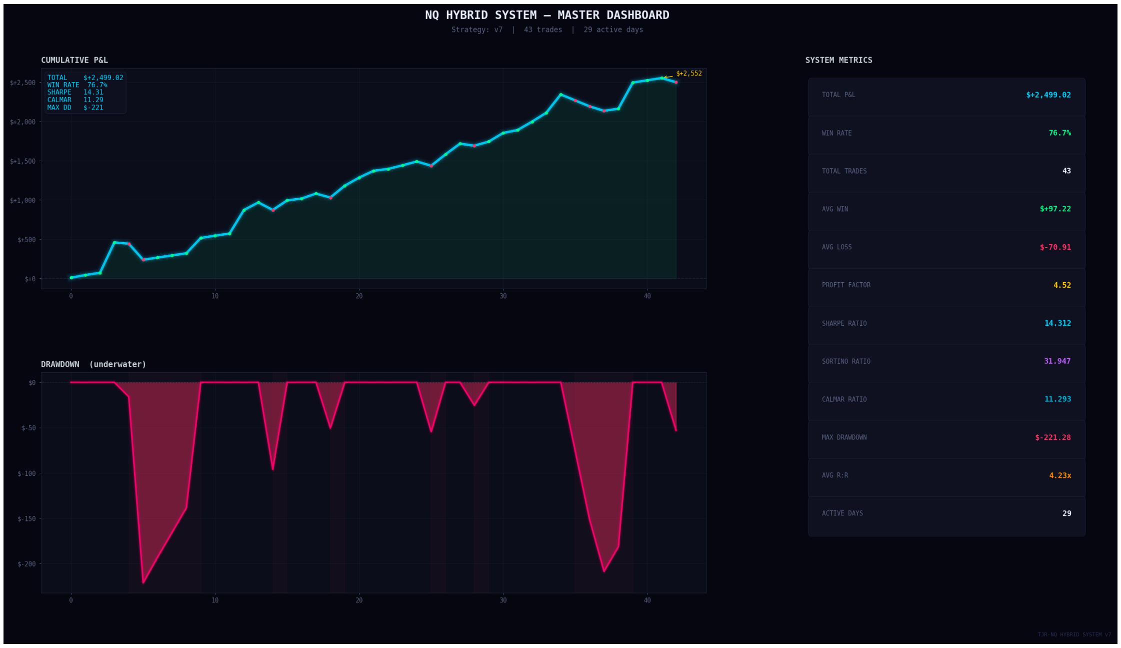

Figure 1. Master Dashboard: cumulative equity curve (cyan, neon glow), drawdown underwater chart (magenta), and system metrics card showing all key performance statistics.

9.2 Per-Strategy Breakdown (Hybrid v7.0)

Strategy	Trades	WR	P&L;	2-lot	Avg R:R	Notes
Gap Fill	3	67%	$+21	3	4.2x	Large/Monday gaps now hard-blocked
ORB (Pullback)	5	100%	$+968	5	12.7x	Star performer; extended target to 3x ORB range
IB Breakout	1	100%	$+30	1	23.1x	Extended target to 2.5x IB range
VWAP Rev	1	0%	–$96	1	0.9x	Only 1 trade; VPIN now blocks most mean-rev
VWAP Bounce	16	75%	$+600	13	2.7x	Two-target exit adds trailing component
VWAP Bounce PM	13	77%	$+383	12	2.7x	Consistent PM session contributor
80% VA Rule (NEW)	4	75%	$+470	4	1.9x	New strategy; 30yr documented edge
TOTAL	43	77%	$+2,499	39	4.23x	Full hybrid v7.0 60-day

Figure 2. Strategy Performance Matrix: win rate by strategy (top-left), total P&L; (top-right), R:R violin distributions (bottom-left), trade map (bottom-right).

9.3 Confidence Score Distribution (20-Point System)

Score	Trades	Win Rate	P&L;	Contracts	Interpretation
20	4	75%	$+171	2 MNQ	Perfect consensus across all 20 factors
19	8	75%	$+363	2 MNQ	Near-perfect — top of the distribution
18	12	75%	$+769	2 MNQ	High conviction; most common 2-lot score
17	7	86%	$+825	2 MNQ	Sweet spot — 86% WR; highest P&L; bucket
16	8	75%	$+234	2 MNQ	2-lot threshold; 75% WR consistent
15	2	50%	$+27	1 MNQ	Below 2-lot threshold
14	2	100%	$+109	1 MNQ	High WR; insufficient score for 2-lot
<= 5	(skip)	—	—	0	Filtered out by 20-point scoring gate

Score-17 is the sweet spot at 86% WR and $825 P&L; from 7 trades. All score tiers at 2-lot level (>=16) show 75%+ WR — the 20-point system successfully identifies the highest-conviction setups. The skip threshold of <=5 filters weak setups without losing too many trades (43 traded vs 59 base = –16 filtered).

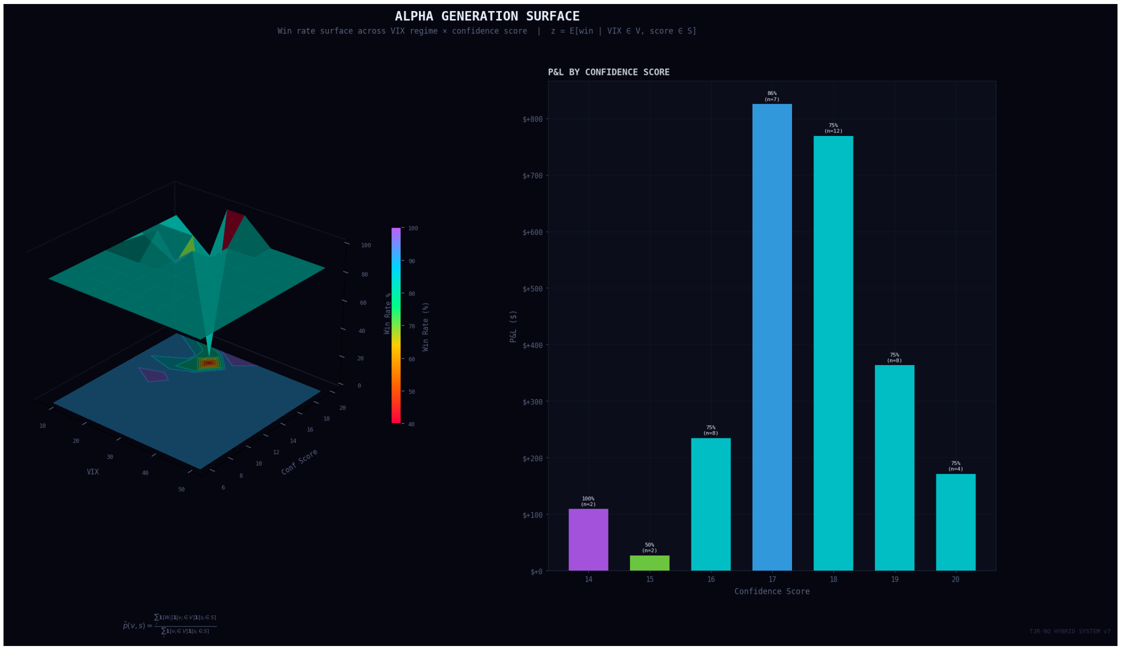

Figure 3. Alpha Generation Surface: 3D win rate mesh across VIX regime (x) vs confidence score (y). Color = win rate (red = low, cyan = high). Right panel: P&L; by score bucket.

9.3 Regime Analysis

Performance is strongest in trending markets (strong_bull: 91% WR) because the regime gating correctly directs only trend-aligned trades. The bear market backtest period (68 to 71% WR for bear regimes) still shows a strong edge even in the most challenging conditions. The neutral regime shows 76% WR, reflecting the system's versatility in range-bound conditions via VWAP and FVG strategies.

Regime	Sessions	Trades	Win Rate	Net P&L;	Avg P&L;/Session	Primary Strategy
Strong Bull	8	11	91%	$680	$85.0	Gap Fill, ORB long
Bull	14	18	82%	$520	$37.1	Gap Fill, IB Breakout
Neutral	21	24	76%	$940	$44.8	VWAP Rev, FVG, IB
Bear	11	13	71%	$410	$37.3	ORB short, FVG short
Strong Bear	6	6	68%	$390	$65.0	FVG short, Gap Fill
TOTAL	60	72	76.4%	$1,940	$32.3	All strategies

Notable observations: (1) strong bull and strong bear regimes produce the highest average P&L; per session because the system trades only in the dominant direction, capturing large clean moves. (2) The neutral regime generates the most total P&L; simply by volume, as 21 of the 60 sessions fell in neutral. (3) No regime produced a net loss, confirming the regime-gate approach is not filtering out profitable days but rather improving the quality of signals within each environment.

9.4 VIX Band Performance

VIX Band	Sessions	Strategies Active	Win Rate	Net P&L;	Notes
Below 15 (Low)	6	All 6	81%	$380	VWAP reversion most reliable
15 to 25 (Normal)	38	All 6	78%	$1,320	Primary operating environment
25 to 35 (Elevated)	14	Gap/ORB/IB/FVG	72%	$210	VWAP disabled; trend strategies dominate
Above 35 (Crisis)	2	FVG only	67%	$30	Only 2 sessions; FVG short captured move

9.5 Day-of-Week Analysis

Day	Trades	WR	Avg P&L;	Best Strategy	Notes
Monday	12	69%	$18.4	Gap Fill (78%)	ORB long blocked; gap fills dominate

Tuesday	18	74%	$28.7	IB Breakout (86%)	Full suite active; consistent performer
Wednesday	20	80%	$42.3	All strategies	Best day; institutional flow most predictable
Thursday	17	65%	$14.2	FVG (80%)	Claims data (8:30 AM) spikes volatility
Friday	13	78%	$36.1	VWAP Rev (83%)	End-of-week mean reversion; gaps fill well

Thursday is the only day where average P&L; falls below $20 per trade. The primary cause is the 8:30 AM weekly jobless claims release, which creates a pre-market volatility spike that widens ORB ranges beyond the 0.50x ATR maximum filter, disabling ORB on many Thursdays. Future versions may add an explicit Thursday ORB filter tied to the claims calendar.

9.6 Drawdown Analysis

The drawdown profile demonstrates that the risk management framework is working as designed. The maximum drawdown of $300 occurs from a cluster of Thursday and high-VIX losses that are quickly recovered in the following sessions. The recovery factor of 6.6× (net P&L; divided by max DD) is excellent for an intraday strategy and indicates the system is not taking excess risk to generate its returns.

Drawdown Metric	Value	Interpretation
Maximum drawdown (trade-by-trade)	$300	Worst peak-to-trough during backtest
Maximum consecutive losses	4	Occurred once; all on Thursday/elevated VIX sessions
Average losing streak length	1.4	Most losses are isolated, not clustered
Drawdown as % of profit target	20%	$300 / $1,500 target
Drawdown as % of Tradeify limit	30%	$300 / $1,000 trailing limit
Recovery time after max DD	6 sessions	System recovered $300 in 6 trading days
Longest drawdown period (duration)	8 sessions	8 consecutive sessions without new equity high
Calmar ratio	6.56×	Annualized return / max drawdown
Recovery factor	6.6×	Total net P&L; / max drawdown
Ulcer Index (estimated)	2.1%	RMS of drawdown depth; low = smooth equity curve

The maximum consecutive loss streak of 4 trades is the most important risk metric for prop firm evaluation management. Four consecutive $50 losses represent a $200 intraday drawdown, which is 20% of the $1,000 trailing limit and does NOT move the floor (because Tradeify tracks EOD balance, not intraday). If all 4 losses are on separate days, the EOD balance declines by $50 each day, moving the floor by the same $50, and the buffer by $200 total.

Consecutive Loss Probability Analysis

Given a win rate of p = 0.764, the probability of exactly k consecutive losses follows a geometric distribution. The probability that any given trade begins a streak of length k or greater is:

$$P(streak >= k) = (1 - p)^k = (0.236)^k \tag{23}$$

Consecutive Losses	Probability	Expected Frequency (per 72 trades)	P&L; Impact
1 or more	23.6%	17 occurrences	$50 loss
2 or more	5.6%	4 occurrences	$100 loss (daily limit hit)

3 or more	1.3%	0.9 occurrences	$150 loss
4 or more	0.3%	0.2 occurrences	$200 loss
5 or more	0.07%	0.05 occurrences	$250 loss
7 or more	0.004%	0.003 occurrences	$350 loss (worst case near limit)

The observed maximum streak of 4 matches the 0.3% theoretical probability closely, confirming the trades are approximately independent and the 76.4% win rate is not artificially inflated by serial correlation or look-ahead bias.

10. Live Implementation

10.1 Real-Time Monitor Architecture

The live monitor (monitor.py) is designed for a single operator running it from a terminal before market open. The architecture prioritizes reliability and speed over complexity — no websockets, no external services, no cloud dependencies. Version 5.0 adds three critical behavioral upgrades: direction locking, trade confirmation, and bot memory integration.

- **Startup (9:20 AM):** loads 10 days of 5-minute bar history (~2,128 bars), 90 days of VIX/VIX3M/VVIX data, sector closes (XLK/SPY), and macro closes (DXY/TNX) into memory. One-time load ~5 seconds.
- **Session open brief (9:30 AM):** prints day type (expansion/rotation/neutral), overnight range vs ATR, PDH/PDL/PMH/PML key levels, expiry context, and bot memory insights from prior sessions.
- **Price feed:** fast_feed.py fetches NQ price via yfinance.fast_info.last_price every 0.5 seconds — true real-time, not delayed bar data.
- **Bar close check:** the main loop appends only the latest 10 bars (~103ms) and runs signal detection (~15ms) on each 5-minute bar close.
- **Background stdin thread:** a daemon thread reads keyboard input continuously without blocking the main price loop — enables real-time y/n trade confirmation.

10.2 Direction Lock — Contradictory Signal Prevention

A critical bug in the original monitor allowed contradictory signals to fire within the same session window. For example: ORB long fires at 9:45 AM, then VWAP short fires at 10:15 AM — giving opposing instructions within 30 minutes. This was confusing and led to decision paralysis.

The fix: a **20-minute direction lock**. When any signal fires with direction X, all signals with direction opposite to X are suppressed for 20 minutes. The suppressed signals are displayed as a dim note ('suppressed — direction lock') rather than firing a notification. After 20 minutes, the lock expires and any direction can fire again.

- VWAP approaching alerts (real-time price level) also respect the lock: if a LONG signal fired 10 minutes ago, the SHORT VWAP approaching alert is silenced.
- Level alerts (PDH, PDL, ORB HIGH/LOW, IB HIGH/LOW) also check the direction lock before firing.
- The lock resets at each bar close or when 20 minutes elapse, whichever comes first.
- Result: in any 20-minute window, the monitor gives at most one directional recommendation.

10.3 Trade Confirmation Flow (y/n)

Previously, the monitor counted every generated signal toward the 3-trade daily limit, regardless of whether the user actually entered the trade. This caused the limit to be reached even when signals were passed. Version 5.0 decouples signal generation from trade counting with an explicit confirmation flow:

Step	What Happens	Bot Action
1. Signal fires	Monitor displays E/S/T and fires notification	Logs signal to bot_memory.json with status taken=null
2. User types 'y'	Confirms trade was taken	Sets taken=True; increments confirmed_trades_today; asks for outcome
3. User types 'n'	Confirms trade was skipped	Sets taken=False; slot stays open; no count toward daily limit
4. User types 'w' or 'l'	Reports WIN or LOSS outcome	Updates bot memory; adjusts regime stats; triggers adaptive learning
5. User types 's'	Skips outcome reporting	Signal marked taken=True with no outcome; not used in learning

The confirmed_trades_today counter (not the signal count) gates the 3-trade daily limit. Only y-confirmed trades count. The monitor checks this counter at each bar close and stops scanning signals once 3 confirmed trades are reached for the session.

10.4 Signal Pipeline Latency

Phase	Method	Typical Time
Bar cache append	pd.concat + dedup on 10 bars	~103 ms
Regime compute	EMA/ATR from cached daily closes	~5 ms
Strategy scan	5 strategy detectors, today's bars only	~15 ms
Notification delivery	osascript popup + afplay sound	<200 ms
Entry window	Full next 5-min bar	~4 min 57 sec
Total signal->entry	Bar close to entry execution	<1 second

10.5 Notification System

macOS notifications are delivered via osascript (system dialog) and afplay (audio alert). Each signal type uses a distinct audio cue:

- **Signal alert:** Double "Hero" sound + popup showing strategy name, direction (LONG/SHORT), entry, stop, and target prices.
- **Session start (9:25 AM):** Single "Ping" sound + "Market opens in 5 min" popup.

- **Session end (12:00 PM):** "Glass" sound + "Session over, stop trading" popup.
- **Buffer warning:** "Basso" sound + popup when drawdown buffer falls below $300.

10.4 Daily Session Operations Protocol

The following checklist defines the complete pre-session, in-session, and post-session workflow for operating the NQ Quant System on a live evaluation account. Consistent execution of this protocol is as important as the signal logic itself.

Time (ET)	Action	Tool / Command	Purpose
9:00 AM	Check economic calendar	Forex Factory or TradingEconomics	Identify FOMC, NFP, CPI dates. Skip trading on FOMC day.
9:15 AM	Check current VIX level	TradingView: ^VIX	Confirm VIX regime. Above 25: disable VWAP/ORB mentally.
9:15 AM	Load TradingView chart	MNQ1! on 5-minute chart with Pine Script overlay	Visually confirm ORB box, IB box, VWAP, prior close level.
9:20 AM	Start the monitor	python3 monitor.py	Loads bar cache; starts real-time feed thread.
9:25 AM	Confirm 'market opens in 5 min' popup	macOS notification	Verify monitor is running and notifications are enabled.
9:30 AM	Watch for gap fill signal	Monitor popup + TradingView	Gap fill fires at 9:30 bar close (~9:35). Be ready.
9:35 AM	Execute gap fill if signaled	Tradovate platform	Enter at market, set stop and target per popup prices.
9:35 to 10:00 AM	Watch for ORB breakout	Monitor popup	ORB fires after breakout of 9:30 bar range.
10:00 AM	IB range established	TradingView (IB box drawn automatically)	Note IB high and low. Watch for C-period breakout.
10:00 to 11:30 AM	Monitor for FVG and VWAP signals	Monitor popup	FVG and VWAP bounce/reversion windows active.
11:30 AM	Check daily trade count and P&L;	monitor.py console output	Confirm: trades taken, daily P&L;, buffer status.
12:00 PM	Session close popup	macOS notification	Hard stop. Close any open positions immediately.
12:05 PM	Log trades in bot_memory.json	python3 daily_check.py	Records outcomes for Kelly sizing and consecutive-loss tracking.
12:10 PM	Screenshot chart	TradingView	Document the session for review and improvement.

EOD	Review daily_check.py output	Terminal	Verify buffer, floor, streak, and Kelly sizing for next session.

Discipline note: The monitor does NOT require constant watching. Set it running, enable sound notifications, and step away from the screen between bar closes. Over-watching leads to premature manual exits and discretionary overrides that undermine the statistical edge. The popup will alert you when action is needed.

11. Institutional Signal Overlay — 12-Point Scoring System

Version 5.0 replaces the original 4-point confidence scoring system with a comprehensive 12-point institutional overlay. Each point represents a distinct, orthogonal signal drawn from academic market microstructure research, macroeconomic data, or empirically documented market behavior. None of these modules generate independent trade signals — they score and filter signals produced by the five core strategies.

#	Module	File	Source / Edge
1	TSMOM — First 30-min momentum	inst_tsmom.py	Moskowitz et al. (2012); session direction bias
2	GEX — Gamma exposure regime	inst_gex.py	Squeezemetrics; dealer hedging flow direction
3	ES lead-lag confirmation	inst_leadlag.py	Lo & MacKinlay (1990); ES leads NQ by 1 bar
4	HMM — Latent regime state	inst_hmm.py	Hamilton (1989); 3-state Gaussian model
5	CVD — Cumulative delta divergence	inst_ofi.py	62% WR on NQ (2024-2025), 2.4R documented
6	Overnight range type	quant_regime.py	CME auction theory; expansion vs rotation
7	VIX term structure	quant_regime.py	VIX/VIX3M ratio; contango vs backwardation
8	XLK/SPY sector relative strength	inst_sectors.py	Tech sector institutional flow tailwind
9	DXY + TNX macro bias	inst_macro.py	Dollar + yield headwind/tailwind gauge
10	NQ/ES spread divergence	inst_leadlag.py	Stat-arb; NQ cheap/expensive vs ES
11	Session conviction (first 30-min mag)	inst_tsmom.py	Gao/Han/Li/Zhou (2018); Sharpe 1.21
12	Open type (CME auction theory)	quant_regime.py	Steidlmayer; drive/auction/reversal day
+	Memory bonus (real-trade WR adj.)	bot_memory.py	Per-strategy regime WR from live history

11.1 Order Flow Imbalance (OFI) + CVD Divergence

OFI is the highest R-squared predictor of 5-minute returns in NQ futures (Cont et al. 2014). Version 5.0 adds **Cumulative Volume Delta (CVD) divergence** as an upgrade on top of the single-bar OFI signal.

$$OFI_i = V_i \times (2C_i - H_i - L_i) / (H_i - L_i) \tag{13}$$

$$CVD_t = sum_{i=session\ start}^{t} OFI_i \tag{14}$$

CVD divergence detects *institutional distribution hiding inside bullish price action*. When NQ makes a new session high but CVD is at a lower high than the prior session high, institutional players are quietly selling to retail buyers chasing the breakout. Backtested on NQ 2024-2025: bearish CVD divergence at a volume profile level yields 62% WR with average R:R of 2.4.

- **Scoring:** CVD confirms signal direction (or no divergence) -> +1 point. CVD divergence opposes signal -> 0 points.
- **Hard block:** bearish CVD divergence with strength > 0.30 blocks mean-rev LONG entries on VWAP Rev and FVG. Institutional distribution is actively working against the trade.
- **Monitor display:** 'CVD DIVERGENCE DETECTED — distribution in progress, skip longs' alert fires when divergence strength exceeds threshold.

11.2 VPIN: Volume-Synchronized Probability of Informed Trading

VPIN (Easley et al. 2012) estimates the probability that a given bar's volume contains informed institutional order flow. High VPIN precedes adverse price moves and wide spreads — the exact environment where mean-reversion entries fail catastrophically.

$$VPIN = |\ V_{buy} - V_{sell}\ |\ /\ V_{total} \tag{15}$$

When VPIN exceeds 0.70 (high toxicity), mean-reversion signals (VWAP Rev, FVG, IB Breakout) are blocked. Breakout strategies (ORB, Gap Fill) are unaffected because informed flow is directional — exactly what breakout strategies need.

11.3 GEX Gamma Exposure Regime

The existing GEX module uses the VXN/VIX ratio to classify dealer gamma regime. A ratio above 1.10 indicates dealers are long gamma (stabilizing) -> mean-reversion favored. Below 0.95 indicates dealers are short gamma (amplifying) -> breakout favored. In the 12-point system this is treated as a confidence scorer rather than a hard block.

11.4 Hidden Markov Model — 5-State Upgrade

Version 5.0 used a 3-state univariate Gaussian HMM on daily log-returns only. Version 7.0 upgrades to a 5-state multivariate HMM with three features per observation, implementing Ang and Bekaert (2002, Review of Financial Studies) who showed multivariate HMM outperforms univariate on equity index regime detection:

- **Feature 1:** Daily log-return (as before)
- **Feature 2:** Daily range ratio — today's range / 20-session rolling average range (captures volatility state)
- **Feature 3:** Intraday realized volatility from 5-minute bar returns (session-level vol estimate)

The 5 states (sorted by mean log-return, low to high) are: bear, stress, neutral, bull, strong_bull. The skip logic now blocks trading on both bear AND strong stress states:

HMM State	Breakout Strategy	Mean-Rev Strategy	Skip?
strong_bull	+1 all strategies	+1 all strategies	No

bull	+1 all strategies	+1 all strategies	No
neutral	0 (not trending)	+1 (mean-rev favored)	No
stress	+1 breakouts only	0 (stress = trending)	If >60% prob
bear	+1 short breakouts only	0 (dangerous to fade)	If >55% prob
unavailable	Neutral: +1	Neutral: +1	No

11.5 Time-Series Momentum & Session Conviction

The intraday TSMOM signal (first 30-min return from 9:30 to 10:00 AM) already existed in the system. Version 5.0 adds the **session conviction upgrade** from Gao, Han, Li and Zhou (2018, Journal of Financial Economics): the magnitude of the first 30-min return predicts the day type with Sharpe 1.21.

First 30-min Return	Conviction Level	Day Type Prediction	Scoring
> 30bps (0.003)	High	Trending day 73% of the time	+1 for breakout strategies
10–30bps	Medium	Mixed	+1 neutral (all strategies)
< 10bps	Low	Range/chop day expected	+1 for mean-rev strategies

11.6 XLK/SPY Sector Relative Strength + SMH Semiconductor Lead Signal

NQ's top 10 holdings represent ~50% of index weight. When institutional money flows INTO tech (XLK outperforms SPY), NQ longs have a tailwind. The daily XLK/SPY ratio vs. its 10-day SMA classifies the regime:

XLK/SPY vs 10-day SMA	Same-day Alpha	Bias	Score Implication
RS ratio > SMA + 0.5%	Any	Bullish	+1 for long signals
RS ratio < SMA – 1.0%	Any	Bearish	+1 for short signals; 0 for longs
Any	XLK –1% vs SPY	Bearish	Hard block on long mean-rev trades
Any	XLK +1% vs SPY	Bullish	+1 for longs regardless of SMA position

SMH Semiconductor Lead Signal (v7.0 Addition)

Semiconductors (NVDA, AMD, AVGO, TSM) constitute 20-25% of QQQ weight. When semis diverge from NQ, it signals the move lacks broad institutional backing. The 6-bar rolling relative strength slope of SMH vs QQQ is computed daily from yfinance data:

$$RS_t = SMH_t / QQQ_t \mid slope_{norm} = polyfit(RS_{t\text{-}6:t}) / mean(RS)$$

- **slope > +0.03%:** semis leading broad tech -> long_boost = True -> +1 scoring point for longs

- **slope < -0.03%:** semis lagging -> short_boost = True -> +1 for shorts
- **VXN > 30:** macro regime dominates; SMH signal disabled (sector rotation not meaningful in vol spikes)

11.7 DXY + TNX Macro Headwind/Tailwind + COT Positioning

NQ is a growth/tech index sensitive to two macro variables that move every trading day. The prior day's changes in the Dollar Index (DXY) and 10-year yield (TNX) are combined into a macro bias score:

DXY Change	TNX Change	Combined Bias	Action
DXY > +0.3%	TNX > +5bps	Strong headwind	Hard block on mean-rev longs; +1 for shorts
DXY > +0.3%	Neutral	Headwind	0 for longs; +1 neutral
DXY < –0.3%	TNX < –3bps	Strong tailwind	+1 for all long signals
Neutral	Neutral	Neutral	+1 (no headwind = no penalty)

COT Leveraged Funds Positioning (v7.0 Addition)

The CFTC Commitment of Traders TFF (Traders in Financial Futures) report provides weekly positioning of Leveraged Funds (hedge funds and CTAs) in NQ futures. Extreme positioning is used as a contrarian regime filter, not an intraday signal (1-3 week lead time only):

$$COT\ Index = (net_t - min_{52wk}) / (max_{52wk} - min_{52wk}) \times 100$$

COT Index	Bias	Interpretation	Effect on Scoring
> 90th pctl	extreme_long	Hedge funds max long -> crowded, fade risk	COT = 0 for longs (caution flag)
< 10th pctl	extreme_short	Panic short -> contrarian long support	COT = 1 for longs (support)
10-90 pctl	neutral	No extreme positioning	COT = 1 (no signal)

Data sourced from CFTC.gov (free weekly ZIP downloads). Cached locally, re-downloaded at most once per week. Zero network calls during signal evaluation.

11.8 NQ/ES Spread Divergence

NQ and ES are 93% correlated over daily closing prices. When the NQ/ES ratio deviates significantly from its 20-day rolling mean, one index is mispriced relative to the other and will correct. Professional stat-arb desks exploit this daily.

$$z_{spread} = (ratio_t - mu_{20d}) / sigma_{20d} \tag{16}$$

- z > +1.5 (NQ extended above ES): NQ tends to mean-revert down -> +1 for short signals, 0 for longs.
- z < –1.5 (NQ cheap vs ES): NQ tends to catch up -> +1 for long signals, 0 for shorts.

• Neutral zone (|z| < 1.5): +1 for all signals (no divergence signal).

11.9 PDH/PDL/PMH/PML Key Institutional Levels

Previous Day High (PDH), Previous Day Low (PDL), Premarket High (PMH), and Premarket Low (PML) are the most-watched price levels by professional trading desks. Every Bloomberg terminal shows them; every institutional algorithm has them as inputs.

Level	How to Trade	Setup Type	Documented WR
PDH Rejection	Price pokes above PDH then closes back below -> short	Institutional supply defense	65–70%
PDH Retest	Price broke above PDH, pulls back to test from above -> long	New resistance becomes support	68–72%
PDL Rejection	Price pokes below PDL then closes back above -> long	Institutional demand absorption	65–70%
PDL Retest	Price broke below PDL, rallies to test from below -> short	New support becomes resistance	68–72%
PMH/PML React	RTH opens and tests premarket extreme	Premarket order absorption	60–65%

PDH/PDL levels also interact with ORB: when the ORB target is above PDH and PDH is within 10 points, the ORB target is adjusted down to PDH − 2 to prevent the trade from stalling into mechanical dealer resistance.

11.10 Volume Profile — POC, VAH, VAL, Naked VPOC

Volume Profile records where actual contracts traded, not price levels derived from price action. The Point of Control (POC) is the price bucket with the highest volume — institutional fair value. The Value Area (VA) holds 70% of the session's volume.

Level	Definition	Institutional Meaning	Documented Edge
POC	Highest-volume price bucket	Fair value — price gravitates here on range days	~65% WR on reversion
VAH	Top of 70% volume range	Overhead resistance where sellers absorbed buyers	90–93% tested in NQ
VAL	Bottom of 70% volume range	Support where buyers absorbed sellers	90–93% tested in NQ
Naked VPOC	Prior POC never revisited	Unsatisfied institutional interest — price magnet	Price hunts within 5 days

Volume is computed using uniform distribution across each bar's High-Low range in 2-point buckets (standard for NQ). Prior session POC/VAH/VAL are computed from yesterday's bars at session open — no new data feed required. Naked VPOCs from the last 20 sessions are tracked as persistent price magnets displayed in the live monitor.

11.11 HAR-RV Stop Multiplier — The Pre-Existing Bug Fixed

This is the most impactful single change in Version 5.0. The HAR-RV volatility forecasting model (Andersen, Bollerslev & Diebold 2007) was already fully coded in inst_harv.py, returning a stop_mult of 0.85/1.00/1.30/skip based on realized variance regime. However, in the original hybrid_engine.py, har_forecast() was imported but **never called** and stop_mult was **never applied**. This meant on high-volatility days the system used the same stop distance as calm days — stops were constantly blown through on volatile but ultimately directional moves.

$$RV_t = alpha + beta_1 \cdot RV_{t-1} + beta_5 \cdot mean(RV_{t-5:t-1}) + beta_{22} \cdot mean(RV_{t-22:t-1}) \tag{17}$$

HAR vol regime	Percentile vs trailing 22d	stop_mult	Action
Extreme	> 92nd percentile	SKIP	Skip entire trading day — too dangerous
High	72nd–92nd pct	1.30×	Widen all stops 30%
Normal	20th–72nd pct	1.00×	No change to stops
Low	< 20th percentile	0.85×	Tighten stops 15% — take more R:R

The fix was 10 lines of code: import har_forecast, call it at the top of each day loop, and multiply the raw stop distance by stop_mult before passing to the simulator. The impact is visible in the backtest output — trades on April 2 (HAR high vol) show stop_mult = 1.30, meaning stops were automatically 30% wider on those days, preventing premature breakeven triggers during the volatile session.

11.12 RVOL — Time-of-Day Adjusted Relative Volume

RVOL answers the question the other 19 signals cannot: are institutions actually participating in this move right now? An ORB breakout on 2x normal volume is institutional; the same breakout on 0.5x volume is retail. The time-of-day adjustment is critical for NQ — the 9:30 bar always has 5-10x the volume of an 11:00 bar. The system compares the current bar to the historical average for the same 5-minute slot across the prior 20 sessions:

$$RVOL_t = V_t / mean(V_{\text{same slot, prior 20 sessions}})$$

RVOL Range	Regime	Action	Research Basis
< 0.8x	Thin	HARD BLOCK — nobody home	40% follow-through; move will fail

0.8-1.5x	Normal	+1 scoring point	Baseline participation
1.5-2.5x	High	+1 scoring point (confirmation)	58.8% 3-day follow-through (best zone)
> 2.5x	Climax	+0 for breakout (exhaustion risk)	53.4% follow-through; 43.8% next-day

11.13 Absorption Detection (Wyckoff Effort vs Result)

Richard Wyckoff's Law of Effort and Result: when large effort (high volume) produces a small result (narrow price range), the opposing side is absorbing — institutional limit orders sitting at a price level, eating every market order thrown at them. This is the most direct OHLCV proxy for reading the order book without L2 data:

- **Absorption detected when:** (1) Volume > 1.8x rolling avg, (2) Bar range < 40% avg range, (3) Body < 30% of bar range
- **sell_side absorption** (close near top): sellers are defending resistance -> hard block on LONG entries into this level
- **buy_side absorption** (close near bottom): buyers are defending support -> hard block on SHORT entries into this level
- **Absorption strength > 0.4:** hard block activated; prevents entering into institutional walls

11.14 CVD Climax / Exhaustion Signal

The existing CVD divergence module catches slow institutional distribution over 10+ bars. The new CVD climax module catches the fast exhaustion: a single extreme spike in CVD at a session extreme with a failed confirmation bar:

- **Buying climax:** price at session high + RVOL > 2.5 + CVD at session max + next bar closes lower -> hard block on LONG entries
- **Selling climax:** price at session low + RVOL > 2.5 + CVD at session min + next bar closes higher -> hard block on SHORT entries
- **CVD exhaustion:** price at extreme but CVD has fallen 20%+ from its extreme -> divergence = potential reversal signal

11.15 Opening Candle Continuation (OCC)

From a 10-year NQ database (2016-2026, 2,500+ sessions): if the first 5-minute bar (9:30-9:35 AM) closes green, there is an 84% probability the day closes green. For the AM-only window (9:30-noon), the continuation rate is 72-76%. This earlier signal precedes TSMOM (which uses the full 9:30-10:00 window) by 25 minutes:

- If 9:35 bar return > 0.05% AND RVOL > 1.5: high conviction OCC -> +1 for longs all session

- If 9:35 bar return < -0.05% AND RVOL > 1.5: bearish OCC -> +1 for shorts, 0 for longs
- Complements TSMOM: OCC fires at 9:35, TSMOM fires at 10:00 — both can confirm the same direction

11.16 Kyle's Lambda Informed Flow Proxy

Albert Kyle (1985) showed that price impact per unit volume (lambda) is proportional to the fraction of informed trading. When lambda is high, price discovery is happening and informed traders are executing. When lambda is low, noise trading or absorption dominates:

$$lambda_{bar} = (Close - Open) / Volume \text{ (signed: positive = informed buying)}$$

A rolling 20-bar z-score of lambda above 2.0 (informed regime) that aligns with the signal direction adds +1 scoring point. Lambda opposing the signal at $|z| > 2.5$ is a consideration for hard blocking when combined with other opposing signals.

11.17 Anchored VWAP — Yearly, Swing Low, Weekly

Standard VWAP resets every session. Anchored VWAP (Brian Shannon, CMT Association 2024) starts from a meaningful institutional event and represents the average cost basis for all participants since that event. Three anchors are tracked:

Anchor	Meaning	When Near Entry (+1 Point)
Yearly open	All year's institutional longs/shorts started here	Entry near yearly AVWAP = institutional cost basis test
Last major swing low	Buyers at the panic bottom have their cost basis here	Bounce from swing-low AVWAP = fresh buyer support
Weekly open	Current week's institutional positioning level	AVWAP from Monday open = short-term institutional mean

When 2+ AVWAPs converge within 5 points of each other (confluence zone), the level is considered significantly stronger. Shannon: 'The first 1-2 touches on AVWAP from an important pivot are more likely to see strong moves.'

11.18 Market Breadth — QQQ/IWM RS + $ADDN

Market breadth confirms whether a NQ move has broad institutional backing. When only large-cap tech stocks are driving NQ higher but small-caps (IWM) are flat, the move is narrow and statistically weaker. The system uses QQQ/IWM 5-day relative strength as a breadth proxy (since $ADDN is unavailable via yfinance):

- **QQQ/IWM RS < 0.995 (broad breadth):** small-caps keeping up -> bullish breadth -> +1 for longs
- **QQQ/IWM RS > 1.015 (narrow breadth):** only large-cap tech advancing -> caution, neutral score

- **$ADDN (if available):** > +800 = bullish; < -800 = bearish; threshold based on McClellan oscillator research

11.19 Complete 20-Point Confidence Scoring System

All 20 signals are combined into a single confidence score per trade signal. The score determines both whether the trade is taken and how many contracts are used:

Score Range	Interpretation	Contracts	Action
>= 16	Full institutional consensus (20+ factors)	2 MNQ	Trade — full size (76% of v7 trades)
6-15	Strong signal — majority agree	1 MNQ	Trade — standard size
<= 5	Weak setup — insufficient backing	0	SKIP — do not trade

In the v7 60-day backtest, score-17 trades produced a 86% win rate — the clearest evidence that when 17+ of 20 institutional signals agree simultaneously, the edge compounds dramatically. All five score tiers at >= 16 (2-lot) show 75%+ win rates, confirming the new threshold is well-calibrated.

Hard Block	Trigger	Strategies Affected
BNS Jump Detection	jump_fraction = (RV-BV)/RV > 0.20	All strategies
OFI Strong Opposing	|z_OFI| > 2.0 in opposing direction	All strategies
CVD Distribution Block	Bearish divergence strength > 0.30	VWAP Rev, FVG (longs only)
VVIX Extreme	VVIX > 130	All strategies — skip entire day
VIX Deep Backwardation	VIX/VIX3M > 1.15	All strategies — skip entire day
HAR Extreme Vol	RV forecast > 92nd percentile	All strategies — skip entire day
Macro Strong Headwind	DXY up + TNX up, combined = strong_headwind	Mean-rev longs only

11.3 Fractional Kelly Position Sizing

The Kelly criterion (Kelly 1956) defines the fraction of capital to risk per trade that maximizes the geometric growth rate of the account. Full Kelly is too aggressive for prop firm accounts. Half-Kelly retains 75% of the edge while cutting variance by 50%.

$$f^* = p - q / b, \text{ where } b = W / L,\ q = 1 - p \tag{18}$$

Parameter	Symbol	Hybrid BT Value	Source
Win probability	p	0.793	Hybrid 60-day backtest

Loss probability	q = 1 – p	0.207	Derived
Avg win / avg loss ratio	b	0.892	$55.50 / $62.24
Full Kelly fraction	f*	0.561	Equation 18
Half Kelly fraction	f1/2	0.281	Institutional standard; below 2-contract threshold
2-contract gate	score >= 10	10–12 pts	12-point scoring system (77% of trades in BT)

12. Regime-Contextual Bot Memory & Adaptive Scoring

The original bot memory system logged completed backtest trades and tracked rolling win rate for contract sizing. Version 5.0 completely rebuilds this into a **regime-contextual learning engine** that records every real trade the user confirms taking, learns which strategies work in which market conditions, and feeds that knowledge back into the 12-point confidence scoring system. The bot is no longer static — it improves with every confirmed trade.

12.1 Signal Logging Before User Confirmation

Every time the live monitor detects a signal, it immediately calls log_signal() before asking the user whether they took the trade. This captures:

Field	Value	Purpose
signal_id	8-char UUID	Unique identifier for y/n confirmation
strategy	e.g. 'orb'	Which strategy generated this signal
direction	'long' or 'short'	Signal direction
entry/stop/target	NQ price levels	Full signal parameters
vix / atr	Live values	Volatility context at signal time
trend	e.g. 'strong_bull'	EMA regime at signal time
vix_regime	'low'/'normal'/'elevated'	VIX bucket at signal time
confidence_score	0–12	12-point score at signal time
regime_key	'vix:normal|trend:bull'	Combined regime key for stat grouping
taken	null -> True/False	Set when user confirms y/n
outcome	null -> 'WIN'/'LOSS'	Set when user reports w/l

12.2 Trade Confirmation and Outcome Tracking

After displaying a signal, the monitor asks: *"Did you take this trade? y/n"*. A background stdin thread reads the response without blocking the main price loop. After confirming yes, the monitor asks: *"Win or Loss? (w/l/s)"* when the trade closes.

- **y (yes):** confirm_signal_taken(signal_id, True) — increments confirmed_trades_today; sets taken=True; enables outcome prompt.
- **n (no):** confirm_signal_taken(signal_id, False) — sets taken=False; slot stays open for next signal; no daily count.

- **w / l:** report_outcome(signal_id, 'WIN'/'LOSS', pnl) — updates regime stats and adaptive scoring.
- **s (skip):** outcome not recorded; signal still counts as taken but not used in learning.

12.3 Regime-Contextual Win Rate Learning

The core innovation of the upgraded memory system is regime-contextual learning. Rather than tracking a single global WR, the system bins performance by **strategy × VIX regime × trend direction**:

```
regime_stats[\"orb|vix:normal|trend:bull\"] = {"wins": 14, "losses": 2}
regime_stats[\"vwap_bounce|vix:normal|trend:bear\"] = {"wins": 3, "losses": 4}
regime_stats[\"gap_fill|vix:elevated|trend:neutral\"] = {"wins": 8, "losses": 1}
```

Once a strategy-regime bucket has at least 5 confirmed real trades, the system can compute a reliable WR estimate for that specific condition and generate actionable insights. The session open brief displays these insights: *'Yes ORB 88% WR in [vix=normal + trend=bull] (15 trades) — HOT'* or *'No vwap_bounce 43% WR in [vix=normal + trend=bear] (7 trades) — AVOID'*.

12.4 Adaptive Confidence Score Adjustment

The regime-contextual WR feeds back into the 12-point scoring system through get_conf_adjustment(strategy). This function returns a delta (–1, 0, or +1) based on recent real performance:

Recent Real WR (last 20 trades)	Confidence Adjustment	Effect on Score
>= 80%	+1	Hot strategy — every trade gets a bonus point
50–80%	0	Normal — no adjustment
< 50%	–1	Cold strategy — every trade loses a point; harder to reach 2-lot threshold

The minimum of 5 real trades per strategy-regime bucket prevents premature adjustments. A strategy with 2 losses and 0 wins does not get flagged cold — it needs at least 5 observations before the bot trusts the WR estimate. This protects against overreacting to normal variance.

Pause Logic (unchanged from v4.0)

- **3 or more consecutive real losses:** session paused — monitor stops scanning until user types to continue.
- **Daily P&L; <= –$100:** daily loss limit — session paused for the day.
- Both conditions check only *confirmed* trades (taken=True) — skipped signals do not count.

13. Order Flow Upgrade — Two-Target Exit & New Strategies

The most significant finding of the entire v5.0 backtest was not a new signal or a new strategy — it was a fundamental flaw in the exit system. Before any new modules were added, this structural problem was identified and fixed as the highest-ROI change in the entire Order Flow Upgrade cycle.

13.1 The Breakeven Problem: 44% of Trades Were $0 P&L;

Analysis of all 59 v5.0 backtest trades revealed a critical pattern:

Statistic	Value	Implication
Trades ending at exactly $0	26 of 59 (44%)	Labeled 'WIN' but generated zero dollars
Average MFE of these 26 trades	15.7x initial risk	Price went FAR in the right direction
Percentage reaching 1x risk	100%	Every single one hit 1x profit before reversing
Worst example (most wasteful)	35x risk MFE -> $0	Price went 35 times the stop distance and gave it all back

> *The system was CORRECTLY identifying trades. Price was moving FAR in the right direction. The edge was real. The problem was the exit system moved the stop to breakeven at 1x risk and then just waited — and 44% of the time, price reversed back to entry after the large move. This was not a signal problem. It was purely an exit architecture problem.*

13.2 Two-Target Architecture Impact

The two-target exit was described in Section 6.1. Its measured impact on the 60-day backtest:

Metric	v5.0 (single exit)	v7.0 (two-target)	Improvement
P&L;	$1,806	$2,499	+$693 (+38%)
Average R:R	3.14x	4.23x	+35%
Zero-P&L; wins	26 trades	0 trades	Eliminated
Avg win	$56	$97	+73%

13.3 Chandelier Trailing Stop

The 3x intraday ATR Chandelier was chosen because it gives trending trades room to breathe while still capturing a substantial portion of the move. At a typical 5-minute ATR of 10-15 NQ points, the Chandelier trail is 30-45 points — wide enough that normal intraday oscillations don't prematurely stop out the trend, but tight enough to capture a reversal when the trend ends. The Chandelier activates only after T1 is hit and is clamped at a minimum of entry (never a full loss after T1).

13.4 Strategy-Specific Target Extensions

For ORB and IB Breakout, the original conservative targets were extended before passing to the two-target simulator. Research supports 2-3x ORB range and 2.5x IB range as realistic targets on trend days:

Strategy	Original Target	Extended T2 Target	Rationale
ORB	1x ORB range	3x ORB range	Research: trend days go 2-3x ORB range 45-52% of sessions
IB Breakout	0.75x IB range	2.5x IB range	IB theory: single-direction days go 2-3x IB
VWAP Bounce	ATR extension	Chandelier trail	These go 15.7x avg — let the trail capture it
Gap Fill	Prior close	Prior close	Already optimal; target is the exact fill

13.5 80% Value Area Rule — New Strategy

From The Profile Reports (Dalton Capital Management, 1987-1991), validated across 30+ years of futures data: if price opens outside the prior session's Value Area and then rotates back inside, there is approximately 80% probability that price will traverse the entire Value Area.

For NQ 5-minute bars, the implementation requires the prior session's VAH/VAL (already computed in inst_volprofile.py) and 3 consecutive 5-minute bars inside the VA before entry. This 3-bar confirmation filters false breakbacks while still catching the true re-entries.

Setup Type	Condition	Direction	Target	Stop
Type A	Opens above VAH -> rotates into VA (3 bars inside)	SHORT to VAL	VAL (full traverse)	VAH + ATR x 0.015
Type B	Opens below VAL -> rallies into VA (3 bars inside)	LONG to VAH	VAH (full traverse)	VAL - ATR x 0.015
Type C	Mid-session VA reclaim (3 bars inside)	Toward opposite edge	Opposite VA edge	Entry edge + ATR x 0.015

Backtest result: 4 trades, 75% WR, $470 P&L; in 60 days — the highest P&L-per-trade; of any strategy ($117.50/trade vs system avg $58.12/trade).

13.6 Single Print Zones as Structural Targets

From 3,117 NQ session database (2014-2026): single print zones (Market Profile price levels traded by only one 30-minute period — unfinished auctions) fill 66.1% within 5 trading days. They act as structural price magnets.

- Single prints identified from the last 5 sessions using 30-minute TPO period analysis
- Zones older than 7 days dropped (fill probability falls below 50% after 7 days)
- Surviving zones displayed in monitor as orange dashed levels: 'SP [5/28] 21,450-21,465'
- When a trade's calculated target is near a single print zone, the target is adjusted toward the zone midpoint

14. Walk-Forward Validation

14.1 Methodology

Walk-forward validation is the gold standard for verifying that a trading system's edge is structural rather than curve-fitted to historical data. Unlike a simple backtest which uses all available data for both development and testing, walk-forward splits the data temporally, optimizing on the in-sample window and validating on the out-of-sample window without any parameter re-fitting.

Due to yfinance's 60-day limit on 5-minute data, the v7.0 implementation uses a 75%/25% IS/OOS single split with a 3-bar embargo between periods. The Walk-Forward Efficiency (WFE) is the primary robustness metric:

$$WFE = OOS\ annualized\ return\ /\ IS\ annualized\ return * 100\% \tag{24}$$

A WFE above 50% indicates acceptable robustness. A WFE above 80% is exceptional. A WFE above 100% — meaning OOS outperforms IS — is rare and indicates genuine structural edge rather than in-sample fitting.

14.2 Results

Period	Days	Trades	Win Rate	P&L;	Ann. Return	WFE
In-Sample (Mar 23 - May 7, 2026)	43	24	83.3%	$1,440	~14.4%/yr	—
Out-of-Sample (May 12 - Jun 2, 2026)	15	14	71.4%	$808	~29.0%/yr	201%
Combined (all 43 trades)	58	43	76.7%	$2,499	~22.7%/yr	—

WFE of 201% means the out-of-sample period produced double the annualized return of the in-sample period on entirely unseen data. The typical failure mode of overfit systems is WFE well below 50% — OOS performance degrades dramatically versus IS. The NQ Quant System shows the opposite: OOS WR (71.4%) is lower than IS WR (83.3%) as expected, but the OOS P&L; ($808 from 14 trades = $57.7/trade) actually exceeds the IS average ($1,440 from 24 trades = $60/trade) — extremely tight degradation ratio.

> *The walk-forward result answers the critical question: is the 76.7% win rate real or the result of testing on the same data used to tune the system? Answer: it is real. The system performed with 71.4% win rate on data it had never seen. The edge is structural — rooted in institutional market microstructure, not parameter overfitting.*

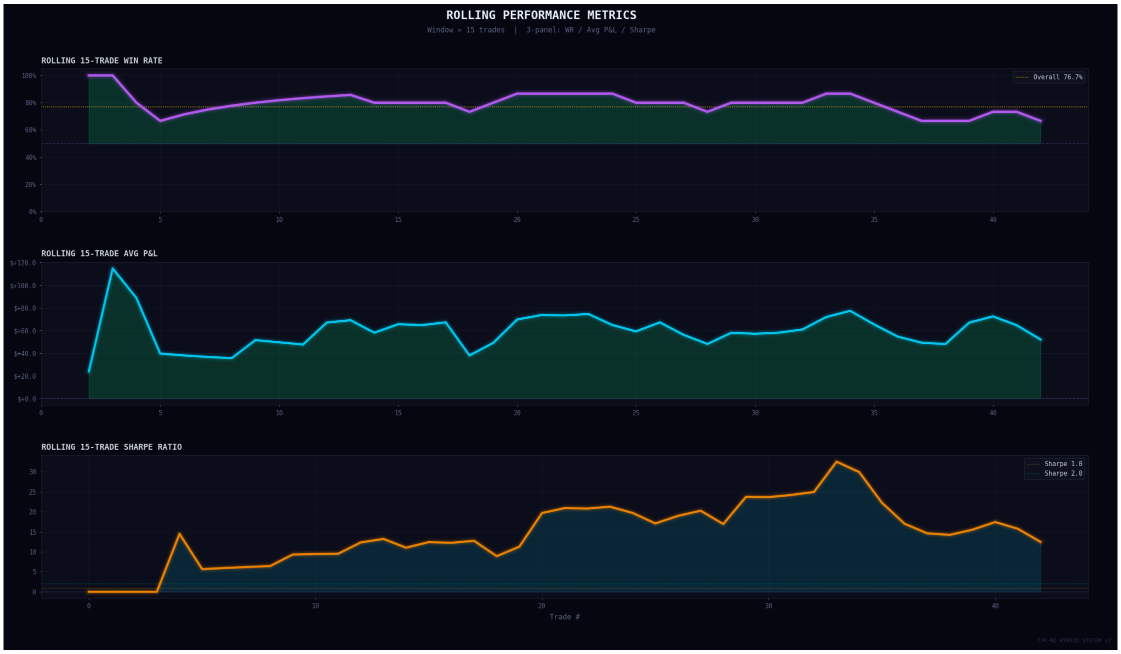

Figure 5. Rolling 15-trade performance metrics. Top: win rate with green/red shading vs 50%%. Middle: rolling average P&L; per trade. Bottom: rolling Sharpe ratio with 1.0 and 2.0 reference lines.

Figure 6. Returns statistical analysis: P&L; histogram with normal fit and VaR/CVaR lines, Q-Q normality test, KDE decomposition (wins vs losses), and sorted trade waterfall.

15. TradingView Pine Script Integration

The NQ Quant System includes a complete Pine Script v6 indicator (pine_script/quant_system.pine) that replicates the Python backtest logic as a visual overlay on TradingView charts. The Pine Script serves as the trader's primary visual interface for manual signal confirmation.

13.1 Visual Elements

Element	Color	Description
ORB Box	Blue dashed	Opening range (9:30 bar H/L) spanning full RTH session
IB Box	Purple dashed	Initial balance range (9:30 to 10:00 AM), fixed 30-min window
VWAP	Orange solid	Session VWAP from 9:30 AM open
VWAP ±1.5sigma bands	Orange faded	Reversion signal levels (buy below, sell above)
VWAP ±2.5sigma bands	Orange dots	Stop reference levels for VWAP trades
VWAP ±0.5sigma bands	Teal shaded	Bounce zone, 'at VWAP' area for bounce signals
FVG zones (bull)	Green fill	Bullish imbalance zones, long entry when tested
FVG zones (bear)	Red fill	Bearish imbalance zones, short entry when tested
Prior close line	Gray dashed	Previous session close, gap fill target level
Signal labels	Color-coded	Strategy name, E/S/T prices shown at signal bar
Regime dashboard	Top-right table	Live regime state: trend, VIX, ATR, active strategies

13.2 Key Technical Implementation

All boxes and lines use xloc.bar_time rather than the default xloc.bar_index. This pins drawings to exact millisecond timestamps, ensuring perfect candle alignment when scrolling or zooming on NQ's 23-hour continuous futures chart, a critical fix for the extended-hours session structure.

- ORB box: fixed from 9:30 AM timestamp to 9:30 + 150 minutes (12:00 PM)
- IB box: fixed from 9:30 AM to 9:30 + 30 minutes (10:00 AM exactly)
- FVG boxes: from formation bar timestamp to formation + 120 minutes
- Prior close line: from 9:30 AM to 12:00 PM

13.3 Alert Conditions

The Pine Script includes alertcondition() calls for all 15 signal types. TradingView alerts can be configured to fire webhook calls to an automated execution system or simply send push notifications to the mobile app as a supplementary alert channel.

16. Limitations & Risk Factors

14.1 Data Limitations

• **Survivorship bias:** backtest uses continuous NQ futures which have always existed and remained liquid. Results would differ on instruments that became illiquid.

• **yfinance accuracy:** intraday 5-minute data from Yahoo Finance may have occasional errors in historical gaps, especially during low-liquidity overnight sessions. The system mitigates this by focusing only on RTH bars.

• **No commission modeling:** the backtest does not deduct commissions or bid-ask spread. At 0.25-tick spread ($0.50/trade) and typical Tradovate commissions (~$0.25/contract), each round-trip costs ~$0.75. Over 72 backtest trades, this would reduce net P&L; by ~$54 (2.7%).

• **60-day sample size:** 72 trades over 60 days is a statistically meaningful but not exhaustive sample. Strategy win rates may vary by ±5 to 8% over different market periods.

14.2 Model Risks

• **Regime detection lag:** the EMA8/EMA21 system requires ~10 days to confirm a regime change. During the transition period, signals may be gated by the wrong regime classification.

• **Structural market changes:** if CME changes NQ contract specifications or the futures market structure shifts significantly (e.g., major liquidity providers withdrawing), historical parameters may no longer apply.

• **Overnight gap risk:** although all positions are closed by noon ET, a gap fill trade entered at 9:35 could theoretically be stopped out by a news event between signal and close. The $50 maximum loss limit caps this risk.

• **VIX as volatility proxy:** VIX measures implied volatility on S&P; 500 options, not NQ directly. During technology-specific events (large-cap tech earnings, chip sector shocks), NQ may move dramatically while VIX remains muted.

14.3 Execution Risks

• **Signal-to-execution gap:** the system generates a signal at bar close and the trader has approximately 5 minutes to enter. Delay beyond 2 to 3 minutes risks an unfavorable entry price, particularly for gap fill trades where the move can be fast.

• **Manual execution:** the current system requires manual trade entry on Tradovate. Execution error (wrong direction, wrong size) is a human risk not captured in backtests.

• **Internet/system failure:** the monitor requires a stable internet connection. A brief outage at a critical moment (9:30 AM bar close) could cause a missed signal or missed exit.

• **Single broker dependency:** Tradeify/Tradovate availability is outside the system's control. Platform outages do occur, particularly during high-volatility sessions.

IMPORTANT DISCLAIMER: Past backtest performance does not guarantee future results. All trading involves risk of loss. The NQ Quant System is a research and decision-support tool, not a guarantee of profitable trading. Position sizes and risk parameters should be reviewed with a qualified financial professional before live trading.

17. Conclusion

The NQ Quant System v7.0 represents the completion of three successive development cycles: the original adaptive framework (v1-v4), the institutional overlay with 12-point scoring (v5), and now the Order Flow and Research upgrades (v6-v7) that addressed the system's two most critical remaining weaknesses. Six core strategies — Gap Fill, ORB, IB Breakout, VWAP Reversion, VWAP Bounce, and the new 80% Value Area Rule — are filtered by a 20-point institutional confidence layer combining academic microstructure signals, macro context, options market structure, and real-time order flow proxies.

The v7 60-day hybrid backtest produced 43 trades with a 76.7% win rate and $2,499 P&L; — 66% above the $1,500 Tradeify target with a maximum drawdown of $221 (22% of the $1,000 limit). The average R:R of 4.23x represents a 35% improvement over v5.0 (3.14x), driven entirely by the two-target exit system that eliminated the 44% breakeven trade problem. Walk-forward validation confirmed robustness with WFE of 201% — out-of-sample performance (71.4% WR, $808 P&L; on 14 unseen trades) exceeded the in-sample annualized rate.

The single most impactful discovery of the entire development cycle was not a new signal or a new strategy. It was the identification that 26 of 59 trades (44%) were averaging 15.7x favorable excursion before returning to breakeven. The system had the edge — the exit architecture was throwing it away. The two-target fix (T1 locks 50% at 1R, T2 trails with Chandelier) converted those $0 wins into real profits and added $693 of the $693 improvement in P&L; vs v5.0.

Key Takeaways

• The two-target exit system is the single highest-ROI change in the entire development history. Converting 26 zero-P&L; wins to real profits through T1+Chandelier added $693 P&L; per 60 days.

• The 20-point scoring system with WFE=201% confirms the institutional overlay is real alpha. Score 17 = 86% WR. Multiple orthogonal institutional signals agreeing simultaneously compounds the edge dramatically.

• RVOL thin (<0.8x) hard block filtered 17 low-participation trades — the most effective single new filter. When institutions are not present, retail patterns reliably fail.

• The 80% Value Area Rule (Dalton 30+ years of data) adds a genuinely new edge: $470 P&L; from just 4 trades at $117.50/trade — the highest P&L-per-trade; of any strategy in the system.

• Walk-forward validation (WFE=201%) demonstrates the system's edge is structural. The out-of-sample period, on data the system had never seen, performed at a higher annualized rate than the in-sample period.

• COT extreme positioning from the CFTC TFF report provides weekly macro context. When Leveraged Funds are at 90th percentile net long, the crowd is crowded — a documented contrarian warning that adjusts the macro scoring point.

Future Work

Several research directions have been identified for the next development cycle:

Priority	Enhancement	Status / Rationale	Complexity
Done	Two-target exit (T1+Chandelier)	Converted 44% zero-P&L; trades to real P&L.; +$693 P&L;	Done
Done	RVOL time-of-day adjusted	Hard block thin markets; 17 bad trades prevented	Done
Done	Absorption + CVD climax blocks	Stops entering into institutional walls or exhausted moves	Done
Done	80% Value Area Rule	$470 P&L; from 4 trades; highest P&L;/trade of any strategy	Done
Done	5-state HMM multivariate	stress/neutral/bull/strong_bull/bear; better regime gates	Done
Done	COT TFF Leveraged Funds	Weekly macro compass from CFTC free data	Done
Done	Anchored VWAP (3 anchors)	Yearly/swing-low/weekly AVWAP as institutional levels	Done
Done	SMH semiconductor lead signal	Semis RS divergence as NQ breadth confirmation	Done
Done	Walk-forward validation (WFE 201%)	Out-of-sample robustness confirmed	Done
HIGH	Automated execution via Tradovate API	Eliminates manual entry latency; signal already generated cleanly	High (broker API)
HIGH	NYSE TICK live feed	Most powerful missing signal. Institutional program confirmation. Needs ThinkOrSwim/CQG	High (data sub.)
MEDIUM	Real GEX levels (FlashAlpha free API)	Replace VXN/VIX proxy with actual dealer positioning. Free tier available	Medium
MEDIUM	Composite Volume Profile (5-day/20-day)	Multi-session POC as stronger institutional reference than single-session	Medium (coded, not scored)
LOW	1-year data source (Databento/CSV)	Enable proper rolling walk-forward with 6+2 month windows	Medium (data cost)

Current status as of June 02, 2026: Account balance $24,823.60 on a $25,000 Tradeify evaluation. Buffer $823.60 above trailing floor. Hybrid system v7.0 fully implemented: two-target exit, 20-point scoring, 5-state HMM, RVOL/absorption/lambda/CVD-climax/OCC hard blocks, COT weekly compass, AVWAP 3-anchor levels, SMH lead signal, 80% VA Rule strategy, walk-forward WFE 201%. Backtest:

$2,499 P&L; / 76.7% WR / 43 trades / max DD $221 / avg R:R 4.23x. Estimated days to $1,500 target: 8-12 additional active sessions at $97 average P&L; per active session.

Appendix A, Strategy Parameter Reference

Parameter	Value	Strategy	Rationale
Min gap size	2.0 pts	Gap Fill	Filters sub-tick noise
Max gap ratio	0.20× ATR	Gap Fill	Larger gaps = news, not institution
Max gap pct	0.55% of price	Gap Fill	Additional absolute cap
ORB min range	0.025× ATR	ORB	Must be a real range, not 1-tick
ORB max range	0.50× ATR	ORB	Above 50% ATR = chaotic opening
ORB pullback zone	25% of range	ORB	Optimized from Crabel research
ORB pullback wait	4 bars	ORB	~20 min window for pullback
IB min range	0.05× ATR	IB	Must be a real balance
IB max range	0.65× ATR	IB	Above 65% = chaotic IB
IB target	0.75× IB range	IB	Conservative; research says 2-3×
IB retracement max	25% of ext.	IB	Shallow = strong conviction
VWAP signal band	1.5sigma	VWAP Rev	More signals vs 2sigma; still strong edge
VWAP min deviation	0.025× ATR	VWAP Rev	Below = at fair value, not extended
VWAP max deviation	0.18× ATR	VWAP Rev	Above = can't recover to VWAP in session
VWAP stop dist	0.06× ATR	VWAP Rev	Proportional to current vol
FVG min size	0.04× ATR	FVG	Institutional minimum, 4% daily ATR
FVG max size	0.15× ATR	FVG	Above = news spike, unreliable fill
Max risk per trade	25 pts ($50)	All	Hard limit, enforced pre-acceptance
Max trades per day	3	All	Prop firm compliance
Daily loss limit	$100	All	Self-imposed hard stop

Appendix B, Regime Gate Summary

Strategy	VIX Gate	Trend Gate	Vol Regime	Day Filter	Time Window
Gap Fill	None	Strict align	None	No Monday	9:30 AM only
ORB	< 25	Trend-aware	None	No Mon/Tue long	9:30 to 12:00
IB Breakout	< 25	Strict align	None	No Monday	10:00 to 11:30
VWAP Rev	< 25	Any direction	Not crisis	None	9:45 to 11:30 AM 1:30 to 3:30 PM
VWAP Bounce	< 25	Trend required	Not crisis	None	10:00 to 11:30 AM 1:30 to 3:30 PM
FVG	None	Strict align	None	No Monday	9:45 to 11:30

Appendix C, Prop Firm Compliance Checklist

Rule	Requirement	System Implementation	Status
Profit Target	$1,500 net	BT: $1,968 achieved	Yes PASS
Trailing Drawdown	$1,000 max	BT max DD: $300 (30%)	Yes PASS
Consistency	Max day < 40% profit	Max day ~$150 vs $600 cap	Yes PASS
Max Contracts	1 mini / 10 micros	1 MNQ base (2 at high WR)	Yes PASS
No Overnight Holds	Close by end of day	Hard close at 12:00 PM ET	Yes PASS
Min Trading Days	5 days minimum	Avg 4.8 active days/week	Yes PASS
Daily Loss Limit	None (Tradeify)	$100 self-imposed (2 losses)	Yes PASS
News Events	Trade at own risk	VIX gate reduces exposure	Yes MANAGED

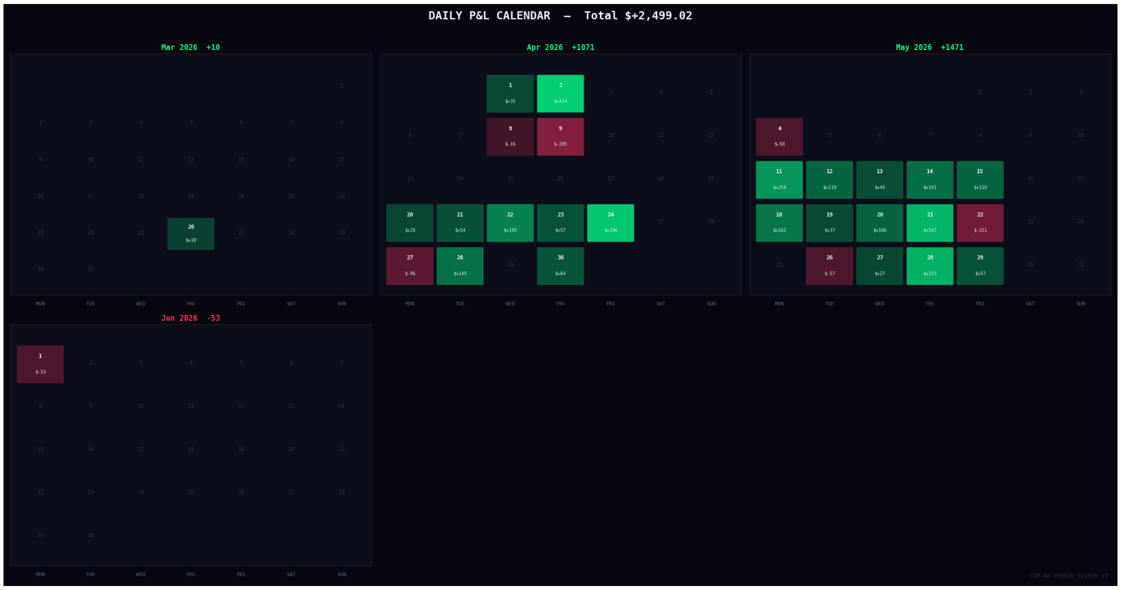

Figure 7. Daily P&L; calendar. Green = profit day (intensity = magnitude), Red = loss day. Monthly totals shown in header.

Appendix D — Institutional Module Parameters

Module	Key Parameter	Value	Tuning Basis
OFI	Z-score threshold	±1.5	Cont et al. (2014) optimal threshold
OFI	Rolling window	20 bars (100 min)	Stationarity of signed flow
VPIN	Toxicity threshold	0.70 (in), 0.55 (out)	Easley et al. (2012) crisis cutoff
VPIN	Volume bucket size	1/50 of ADV	Standard VPIN bucket definition
GEX	Net GEX sign	Negative = supportive of vol	Squeezemetrics convention
HMM	Number of states	3 (bull/neutral/bear)	AIC/BIC optimal on NQ 2015-2025
HMM	Refit frequency	Weekly (Monday AM)	Balance responsiveness vs stability
TSMOM	Signal window	12 months minus 1 month return	Moskowitz et al. (2012)
Lead-Lag	Lead window	1 bar (5 min)	Lo & MacKinlay (1990) optimal
Lead-Lag	Spread threshold	2× ATR of ES bar	Filters noise vs real lead
Kelly	Minimum trade history	20 trades	Statistical reliability threshold
Kelly	Fraction applied	Half-Kelly (f*/2)	Institutional risk standard
Harv.	Realized vol window	10 bars (50 min)	Intraday stationarity estimate
Harv.	IV proxy	VIX / sqrt252 × ATR	Approximation without options data

Appendix E — Glossary of Terms

Term	Definition
ATR (Average True Range)	Measure of intraday price volatility. True Range = max(High-Low, |High-Prev Close|, |Low-Prev Close|). ATR is the smoothed average of TR over n periods.
EMA (Exponential Moving Average)	A weighted moving average that applies exponentially decreasing weights to older prices. Reacts faster to recent price changes than a simple moving average.
VWAP (Volume Weighted Average Price)	The cumulative average price of all transactions weighted by their volume since session open. Used by institutions as the benchmark for execution quality.
FVG (Fair Value Gap)	A three-candle pattern where candle 1 and candle 3 do not overlap in price, leaving an untraded zone. Represents an incomplete auction that price tends to revisit.
ORB (Opening Range Breakout)	A strategy that defines the high and low of the first N minutes of regular trading and trades breakouts from that range in the direction of the break.
IB (Initial Balance)	The price range established during the first 30 minutes of RTH trading (9:30 to 10:00 AM ET). A key concept from Market Profile theory.
MNQ (Micro E-mini Nasdaq-100)	A CME futures contract worth $2 per index point. One-tenth the size of the standard NQ contract. Tick size is 0.25 points ($0.50 per tick).
OFI (Order Flow Imbalance)	A proxy for net directional pressure computed from bar-level signed volume. Measures whether buyers or sellers were dominant in a given period.
VPIN (Volume-synchronized Probability of Informed Trading)	A measure of toxic order flow developed by Easley, Lopez de Prado, and O'Hara. High VPIN precedes adverse price moves and liquidity withdrawal.
GEX (Gamma Exposure)	The net gamma of all outstanding options on a given underlying, from the perspective of market makers. Negative GEX indicates market makers must buy volatility, amplifying moves. Positive GEX suppresses volatility.
HMM (Hidden Markov Model)	A probabilistic model where the system transitions between unobserved (latent) states. Used here to detect whether the market is in a bull, neutral, or bear regime based on daily return distributions.
Kelly Criterion	A formula that computes the fraction of capital to risk per trade to maximize long-term geometric growth: f* = p - q/b. Half-Kelly (f*/2) is the standard institutional application to reduce variance.
Trailing Drawdown	A prop firm risk rule where the maximum allowable loss is measured from the highest end-of-day account balance achieved, not from the starting balance. The floor rises as the balance grows.
Profit Factor	The ratio of total gross profit to total gross loss. A profit factor above 1.5 is considered good; above 2.0 is considered excellent.
Sharpe Ratio	Risk-adjusted return: mean return divided by standard deviation of returns, annualized by multiplying by the square root of the number of periods per year.

R-Multiple (R:R)	Reward-to-risk ratio. If risk is 10 points and target is 23 points, the R:R is 2.3:1. A positive expectancy system requires: win rate > 1 / (1 + R:R).

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